



ACQLERATE

MODULE 9

# The Compliance Stack

*CMMC, controlled information, export controls, clearances, data rights, TINA, domestic preference, labor standards, and procurement ethics. The rules that decide who can bid, what you must protect, and what you must disclose, made operational for a small team.*

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10 Lessons · ~245 Minutes · Lesson Book Edition

## Course Lessons

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## THE COMPLIANCE STACK · LESSON 1

# CMMC and DFARS 7012: Cybersecurity as a Condition of Award

27 min

*The cybersecurity requirement that now decides who can bid. What DFARS 252.204-7012 has required since 2017, why self-attestation failed, how CMMC turns NIST SP 800-171 into a verified certification with levels, what the SPRS score is, how the phase-in works, and what it costs a company to get there.*

## The Requirement That Became a Gate

For most of the last decade, cybersecurity in defense contracting worked on the honor system. A clause said implement the standard; contractors said they had; nobody checked until something leaked. That era is ending. CMMC makes a verified cybersecurity level a condition of award: no certification at the required level, no contract, regardless of price or technical merit. For a company that has never taken 7012 seriously, this is the largest compliance lift in the module. For a government PM, it is a new reason a preferred vendor may be ineligible. This lesson walks through how it works, from the original clause to the assessment to the phase-in.

## Where It Started: DFARS 252.204-7012

Since the end of 2017, any DoD contract involving covered defense information has carried DFARS 252.204-7012. It requires three things. Implement the 110 security requirements in NIST SP 800-171 on any system that processes, stores, or transmits the information. Report cyber incidents affecting that information to DoD within 72 hours of discovery, preserve the evidence, and cooperate with damage assessment. And flow the same clause down to every subcontractor that handles the information. The clause allowed companies to have unmet requirements documented on a POA&M, which in practice meant many companies were "compliant" with dozens of open items. DoD's own audits found that self-reported implementation did not match reality, and CMMC was the response.

## The SPRS Score: Self-Assessment With Consequences

In 2020 DoD added an interim step: before award of any contract with 7012, the contractor must have a current NIST SP 800-171 self-assessment score posted in SPRS. The score starts at 110 and subtracts weighted points (1, 3, or 5) for each unmet requirement, so the floor is negative 203. A company with 20 open requirements might score 60. The score is visible to contracting officers and is a data point in award decisions. It is also a certification: a score that does not reflect reality has been the basis of False Claims Act settlements, including cases where a company claimed a high score while knowingly failing key controls. The SPRS score is the bridge between the honor-system era and CMMC.

## CMMC Levels

| LEVEL   | APPLIES WHEN THE CONTRACT INVOLVES  | REQUIREMENTS                                                                                    | WHO ASSESSES                                                                                                | HOW OFTEN                                             |
|---------|-------------------------------------|-------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|
| Level 1 | Federal Contract Information only   | 15 basic safeguarding requirements (FAR 52.204-21, renumbered 52.240-93 under the FAR overhaul) | Annual self-assessment, with senior official affirmation                                                    | Annually                                              |
| Level 2 | Controlled Unclassified Information | All 110 NIST SP 800-171 requirements                                                            | Third-party (C3PAO) certification for most contracts; self-assessment permitted for a subset DoD designates | Certification every three years; affirmation annually |
| Level 3 | CUI on the most sensitive programs  | Level 2 plus a selected set of NIST SP 800-172 enhanced requirements                            | Government assessment by DIBCAC                                                                             | Every three years; affirmation annually               |

## How the Requirement Reaches a Contract

CMMC is applied through a phased rollout after the final rules took effect. In the first phase, solicitations begin requiring Level 1 and Level 2 self-assessments. In later phases, Level 2 third-party certification becomes required in solicitations that involve CUI, and Level 3 appears on the most sensitive programs. The full phase-in runs about three years, after which the required level is written into every applicable solicitation. Exact dates and the sequence of phases are set in the DFARS rule and DoD guidance; verify the current phase before planning, because the phase determines whether a self-assessment or a certification is needed for a given pursuit. The practical consequence: for a competition that requires Level 2 certification, a company without the certificate on the day of award is ineligible. Not downgraded. Ineligible.

### THE CERTIFICATION HAS TO EXIST BEFORE THE PURSUIT

C3PAO assessments are scheduled months out, and the assessment itself takes weeks of preparation. A company that decides to get certified when it sees the requirement in an RFP has already lost that RFP. The certification has to exist before the pursuit, which means the decision to get it has to be made a year or more ahead of the first contract that requires it.

## What a Level 2 Certification Actually Requires

- **A defined boundary** Which systems, networks, and people handle CUI. Many companies build an enclave: a separate, controlled environment for CUI work, so the whole company does not need to be assessed.

- **All 110 requirements implemented** Access control, identification and authentication, audit logging, configuration management, incident response, media protection, physical protection, personnel security, risk assessment, security assessment, system protection, system integrity, and more.
- **A System Security Plan** Describing how each requirement is met in the boundary, with evidence.
- **Limited POA&M use** Only certain lower-weighted requirements may be open at assessment, the score must meet a minimum, and open items must close within 180 days or the certification lapses.
- **The assessment** A C3PAO reviews documentation, interviews staff, and tests controls against the assessment guide. The result is posted in SPRS.
- **Annual affirmation** A senior official affirms continued compliance each year. This is a personal certification.

One sentence to teach your team: **CMMC turns the cybersecurity standard DoD has required since 2017 into a verified certification, and without the level a solicitation requires, a company cannot be awarded the contract at all.**

#### INTERMEDIATE

### Scoping: The Decision That Sets the Cost

The cost of CMMC depends less on the company's size than on how much of it is in scope. A company that lets CUI flow into email, shared drives, and every laptop must bring the entire environment to 110 requirements. A company that builds a CUI enclave (a segregated environment with its own identity management, endpoints, and storage, often cloud-hosted in a FedRAMP Moderate or equivalent service) assesses only the enclave. Scoping is done against DoD's CMMC scoping guidance, which categorizes assets as CUI assets, security protection assets, contractor risk managed assets, specialized assets, and out of scope. Getting the scope right, and then enforcing it (CUI does not leave the enclave), is where the money is saved or lost.

### Flow-Down: The Supply Chain Problem

Both 7012 and CMMC flow down. A prime at Level 2 must ensure that every subcontractor that will handle CUI on the contract holds the appropriate level, and that subs that handle only FCI hold Level 1. Primes cannot certify subs and cannot rely on a sub's promise; the sub's status is checked in SPRS. This makes CMMC a supply chain qualification: a prime with a valuable but uncertified small sub has a problem, and a small sub with a certification has a marketing asset. It also means CUI should be shared with subs only when the sub needs it, because every sub that receives CUI must be certified. Structuring the work so fewer subs touch CUI reduces the flow-down burden.

## The Cost Picture (Order of Magnitude, Verify Against Current Estimates)

| COMPANY SITUATION                          | TYPICAL PATH                                                                        | TYPICAL COST RANGE                                    | TIME              |
|--------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------|-------------------|
| Already close to 110, good documentation   | Gap remediation, SSP cleanup, assessment                                            | Tens of thousands for the assessment plus remediation | 6 to 9 months     |
| Partial implementation, weak documentation | Enclave build or full remediation, SSP from scratch, consultant support, assessment | Low to mid six figures over the first two years       | 12 to 18 months   |
| Starting from nothing                      | Enclave (usually cloud), managed service provider, policy set, training, assessment | Mid six figures first year; ongoing annual costs      | 18 months or more |
| Level 1 only (FCI, no CUI)                 | 15 requirements, self-assessment, affirmation                                       | Modest; mostly process                                | 1 to 3 months     |

### Recovering the Cost

DoD has stated that CMMC compliance costs are generally allowable and can be included in indirect rates, which means they are recovered over the company's cost-type work and priced into fixed-price work. For a company whose revenue is mostly fixed-price, the cost comes out of margin until rates are repriced on the next proposal. The Business module's lesson on indirect rates explains the mechanics. Senior leaders plan the CMMC investment with the rate build, because it is a multi-year pool cost, not a one-time project expense.

#### ADVANCED

### The False Claims Act Dimension

The Department of Justice has made cybersecurity misrepresentation an enforcement priority, and the cases so far share a pattern: a company represented compliance with 7012 or posted a SPRS score it knew was wrong, won contracts on that basis, and was reported by an employee who knew the truth. Settlements have run into the millions and included personal exposure for executives who signed. CMMC raises the stakes by adding the annual affirmation, a named senior official certifying compliance. The affirmation should be signed only after an internal review confirms the controls still operate, and the review should be documented, because the affirmation is the government's evidence of what the company claimed on that date.

### Incident Response Under 7012: The 72-Hour Clock

When a cyber incident affects covered defense information or the contractor's ability to perform, 7012 requires reporting to DoD's cyber incident reporting portal within 72 hours of discovery, using a DoD-approved medium assurance certificate to authenticate. The contractor must preserve images of affected

systems for at least 90 days, provide access to DoD for forensic analysis if requested, and flow incident information up from subs. The clock starts at discovery, not at confirmation, and 72 hours includes weekends. Companies that have not tested this process, with the certificate already obtained and a named reporter, discover the gaps during the incident. A tabletop exercise once a year is cheap insurance.

## CMMC From the Government PM's Seat

The requirement changes acquisition planning.

### Decide whether the contract involves CUI SCOPE

This decision sets the required level and therefore who can bid.

Over-marking information as CUI raises the level unnecessarily and shrinks the competitive field. Under-marking exposes the information. The program office owns this call and should make it deliberately.

### Check the market COMPETITION

How many capable firms hold the required level today?

A Level 2 certification requirement may exclude the small businesses the Rule of Two analysis counted on. Market research now includes SPRS status.

### Write the level into the solicitation correctly SOLICITATION

The DFARS 7021 clause and the required level, per the current phase.

The CO handles the clause; the PM confirms the level matches the information actually involved.

### Plan for flow-down effects SUPPLY CHAIN

Subs that will handle CUI must be certified too.

A prime whose key sub is uncertified may propose a different team or drop out. Expect it in the sources sought responses.

### Verify at award AWARD

The CO checks SPRS for the required level before award.

Not at proposal, at award. A company that certifies between proposal and award is fine; one that misses award is not.

## WHAT SENIOR LEADERS DO DIFFERENTLY

They scope the CUI boundary tightly and enforce it. They schedule the C3PAO a year before the first solicitation that will require certification. They plan the cost as a multi-year indirect pool item. They treat the SPRS score and the annual affirmation as certifications with personal exposure and review them before signing. And they run the incident response process once a year, before they need it.

**BUILD ON THIS**

- **CUI, FCI, and Classified: The Three Tiers of Controlled Information** What CUI is and how it is marked
- **Indirect Rate Games** How compliance costs move through rates
- **DCAA & DCMA Oversight** The other systems the government inspects

## Key Terms

### **DFARS 252.204-7012**

The clause requiring contractors that handle covered defense information to implement NIST SP 800-171, report cyber incidents to DoD within 72 hours, and flow the requirement down to subcontractors. In DoD contracts since 2017.

### **NIST SP 800-171**

The federal standard listing 110 security requirements for protecting Controlled Unclassified Information in non-federal systems. The technical basis for both 7012 and CMMC Level 2.

### **CMMC**

Cybersecurity Maturity Model Certification. The DoD program that replaces self-attestation with verified assessment at three levels, written into contracts through DFARS 252.204-7021 and a phased rollout.

### **SPRS Score**

The Supplier Performance Risk System score: a self-assessment against the 110 NIST requirements, scored from -203 to 110, that contractors must post before award. Under the FAR overhaul, DFARS 252.204-7019 was deleted and 7020 renumbered 252.240-7997, with the posting requirement now running through CMMC; verify the current clause.

### **System Security Plan (SSP)**

The document describing how each NIST requirement is implemented in the contractor's environment. Required for 7012 and central to any CMMC assessment.

### **POA&M**

Plan of Action and Milestones: the list of requirements not yet met, with dates. CMMC limits which requirements may be open on a POA&M and requires closure within 180 days.

### **C3PAO**

CMMC Third-Party Assessment Organization. Accredited firms that conduct Level 2 certification assessments. Their capacity is a scheduling constraint for the whole industry.

### **Controlled Unclassified Information (CUI)**

Unclassified information the government requires to be safeguarded under law or policy. The presence of CUI on a contract is what triggers Level 2.

### **Federal Contract Information (FCI)**

Information provided by or generated for the government under contract that is not intended for public release. Nearly every contract has FCI, which is what triggers Level 1.

### **Affirmation**

The annual attestation by a senior company official in SPRS that the company continues to meet its CMMC level. Creates personal accountability and False Claims Act exposure for inaccurate claims.

## Knowledge Check

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What does DFARS 252.204-7012 require of contractors handling covered defense information?

- A. A classified facility
- ✓ B. Implement NIST SP 800-171, report cyber incidents within 72 hours, and flow the clause to subs
- C. CMMC Level 3
- D. Annual DCAA audit

### WHY

The three core obligations: implement the standard, report incidents, flow down.

How many security requirements are in NIST SP 800-171 (the basis for CMMC Level 2)?

- A. 15
- B. 72
- ✓ C. 110
- D. 203

### WHY

110 requirements. Level 1 uses 15 basic safeguards; the SPRS score floor is -203.

What triggers CMMC Level 2 on a contract?

- A. Any DoD contract
- ✓ B. The presence of Controlled Unclassified Information
- C. Contract value over \$10M
- D. Use of subcontractors

### WHY

CUI triggers Level 2. FCI alone triggers Level 1.

**Who conducts a CMMC Level 2 certification assessment for most contracts?**

A. The contractor itself

✓ **B. An accredited C3PAO**

C. DCAA

D. The contracting officer

**WHY**

Third-party assessment organizations perform Level 2 certifications; a subset of contracts permit self-assessment, and Level 3 is assessed by DIBCAC.

**A solicitation requires Level 2 certification and a company does not hold it on the award date. What is the result?**

A. The company is awarded with a POA&M

✓ **B. The company is ineligible for award**

C. The company gets 90 days to certify

D. Price is adjusted

**WHY**

CMMC is a condition of award. Without the required level, the company cannot be awarded.

**What is the SPRS score?**

A. A CPARS rating

✓ **B. A self-assessment score against NIST SP 800-171, from -203 to 110, that must be posted before award**

C. A DCAA audit result

D. A small business goal

**WHY**

The SPRS score is the interim self-assessment requirement under DFARS 7019/7020 and is a certification with FCA exposure.

**Why do companies build a CUI enclave?**

A. To avoid flow-down

✓ B. To limit the assessment scope to a segregated environment instead of the whole company

C. Because DoD requires it

D. To store classified information

**WHY**

Scoping determines cost. An enclave keeps CUI, and therefore the 110 requirements, in a controlled boundary.

**Under 7012, within how many hours of discovery must a cyber incident be reported to DoD?**

A. 24

B. 48

✓ C. 72

D. 30 days

**WHY**

72 hours from discovery, via DoD's portal, with system images preserved for 90 days.

**A prime at Level 2 wants to use a small sub that will handle CUI. What must be true?**

A. Nothing; the prime's certification covers subs

✓ B. The sub must hold the appropriate CMMC level, verified in SPRS

C. The sub must sign an NDA

D. The sub must be 8(a)

**WHY**

CMMC flows down. Subs handling CUI must be certified; primes cannot certify them.

**Match the level to its trigger and assessor:****CORRECT MATCHES**

|         |                                                         |
|---------|---------------------------------------------------------|
| Level 1 | FCI; annual self-assessment                             |
| Level 2 | CUI; C3PAO certification (self-assessment for a subset) |
| Level 3 | Most sensitive CUI; DIBCAC government assessment        |

**WHY**

Level 1 is FCI with self-assessment; Level 2 is CUI with C3PAO certification for most; Level 3 is sensitive CUI with government (DIBCAC) assessment.

**Order the steps to a Level 2 certification:****CORRECT ORDER**

1. Define the CUI boundary (often an enclave)
2. Implement the 110 requirements
3. Write the System Security Plan with evidence
4. Schedule and complete the C3PAO assessment
5. Post the result in SPRS and affirm annually

**WHY**

Scope the boundary, implement the requirements, document the SSP, schedule and pass the C3PAO assessment, then affirm annually.

**Why is the annual CMMC affirmation significant for executives?**

- A. It is optional
- ✓ **B. It is a personal certification by a senior official and creates False Claims Act exposure if inaccurate**
- C. It replaces the SSP
- D. It is signed by the C3PAO

**WHY**

The affirmation puts a named official's certification on record. It should follow a documented internal review.

## THE COMPLIANCE STACK · LESSON 2

# CUI, FCI, and Classified: The Three Tiers of Controlled Information

23 min

*Every compliance requirement in this module attaches to a kind of information. This lesson sorts the three tiers: Federal Contract Information, Controlled Unclassified Information, and classified. What each one is, who decides, how it is marked, where it may live, and what happens when it ends up somewhere it should not.*

## Requirements Attach to Information, Not to Companies

CMMC, export controls, facility clearances, and most of the rules in this module have the same structure: if you handle a certain kind of information, a certain set of obligations applies. So the first question on any contract is not "what compliance do we need" but "what information will we touch." A company that only ever sees invoices and public specifications has a light burden. A company that receives engineering drawings for a weapon system has a heavy one. This lesson gives the vocabulary for that first question, because the rest of the module depends on getting it right.

## The Three Tiers

| TIER                                | WHAT IT IS                                                                                                     | WHO DECIDES                                                     | WHAT IT TRIGGERS                                                                                                         | WHERE IT MAY LIVE                                              |
|-------------------------------------|----------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|
| Federal Contract Information        | Non-public information provided by or generated for the government under contract                              | By definition; nearly every contract has some                   | FAR 52.204-21 (now 52.240-93 in solicitations under the FAR overhaul) basic safeguarding (15 requirements); CMMC Level 1 | Any reasonably protected system                                |
| Controlled Unclassified Information | Unclassified information a law, regulation, or policy requires to be protected; categories in the CUI Registry | The government originator marks it; the contract identifies it  | DFARS 7012, NIST SP 800-171, CMMC Level 2 or 3, incident reporting                                                       | Systems meeting 800-171; clouds at FedRAMP Moderate equivalent |
| Classified                          | Confidential, Secret, Top Secret under EO 13526                                                                | An original classification authority; contract DD 254 specifies | Facility clearance, personnel clearances, NISPOM, DCSA oversight                                                         | Accredited classified systems and spaces only                  |

## FCI: The Floor Everyone Stands On

Almost every government contract involves FCI: the statement of work, the government's internal schedules, performance data, correspondence. It is not sensitive in the CUI sense but it is not public either. The FAR requires fifteen basic safeguards for systems that hold it: limit access to authorized users, sanitize media before disposal, use boundary protection, patch systems, and similar hygiene. These fifteen become CMMC Level 1. A company that cannot meet them should not be handling any government information, and most companies with a competent IT setup already do.

## CUI: The Tier That Drives the Cost

CUI is the reason CMMC Level 2 exists. It covers dozens of categories in the CUI Registry, from privacy information to law enforcement records to critical infrastructure data. On DoD contracts the dominant category is Controlled Technical Information: engineering drawings, specifications, technical reports, software documentation with military application. Export-controlled technical data is also CUI (a "specified" category, because export law imposes its own handling rules on top). Two things about CUI trip up companies. First, the government is supposed to mark it, but marking is inconsistent, so a contractor that receives unmarked technical data on a weapon system should treat it as CUI and ask. Second, the contractor generates CUI too: the drawings you produce under the contract are CTI the moment they exist, and you must mark and protect them as such. The contract's CUI identification and the DD 254 (if any) are the starting point, not the whole answer.

### THE MOST COMMON CUI FAILURE IS NOT A HACKER

The most common CUI failure is not a hacker. It is an engineer emailing a drawing to a supplier from a personal account, or a PM putting the test report in a shared drive the whole company can see, or a proposal team pasting CTI into a commercial cloud tool. None of those people meant harm. All of them created a reportable incident. The controls in 800-171 exist to make the easy path the compliant path, and the training exists to make people notice when they are about to leave it.

## Classified: A Different World

Classified information does not follow the CUI rules; it follows the National Industrial Security Program, which has its own lesson in this module. The short version: a company cannot hold classified information unless it has a facility clearance, its people cannot see it without personnel clearances, it can only be stored and processed in accredited spaces and systems, and the contract's DD 254 says exactly what the contractor may access and generate. Classified and CUI can appear on the same program; the CUI lives in the 800-171 environment and the classified lives behind the cleared facility's door, and they do not mix.

## Marking, in Practice

- **CUI banner** "CUI" (or "CONTROLLED") at the top and bottom of every page, with category markings where required (for example, "CUI//SP-CTI" for controlled technical information) and any limited dissemination control.
- **Distribution statements on technical documents** DoD requires a distribution statement on technical documents. Distribution A means public. B through F restrict to U.S. government agencies, DoD and contractors, and so on, with a reason and date.
- **Export control warning** Technical data subject to ITAR or EAR carries a warning notice in addition to the CUI marking.
- **Contractor-generated documents** What you produce under the contract inherits the controls. Templates with the banner built in prevent the most common omission.
- **Email and files** Subject lines and file names do not need the marking, but the body and the document do. And the transport must be appropriate: encrypted, to an authorized recipient, from an authorized system.

One sentence to teach your team: **figure out which tier of information a contract involves before anything else, because FCI needs basic hygiene, CUI needs the full 800-171 environment, and classified needs a cleared facility, and the cost of getting it wrong runs in that order.**

### INTERMEDIATE

## Where CUI May Live: Systems, Clouds, and the Equivalency Rule

DFARS 7012 requires that any system processing, storing, or transmitting covered defense information meet 800-171. For cloud services, it adds a specific bar: the service must meet requirements equivalent to the FedRAMP Moderate baseline, and the provider must meet the incident reporting and data preservation obligations. DoD has published what "equivalent" means, and it is close to actual FedRAMP Moderate authorization with a third-party assessment. Government-specific cloud offerings from the major providers meet it; the ordinary commercial versions of the same products generally do not, even when they are the same software. A company choosing a collaboration platform, email service, or file storage for CUI has to pick the government variant, and it has to configure it correctly. "We use a major cloud provider" is not the answer to the equivalency question.

## Identifying CUI on a Contract: The Conversation to Have at Kickoff

The contract should tell you what CUI is involved: the DFARS 7012 clause, a CUI identification in the SOW or a separate attachment, a DD 254 if classified is also involved, and distribution statements on the government-furnished documents. In practice it is often incomplete. The kickoff question for the CO and COR is: what information on this contract is CUI, what categories, and how will it be marked when you

send it to us. Get the answer in writing. It defines the boundary of the 800-171 environment, the scope of the CMMC assessment, which subs need certification, and which employees need training. A contract with no clear CUI identification is a contract where the contractor has to make conservative assumptions and pay for them.

## Common CUI Categories on Defense Contracts

| CATEGORY                         | MARKING       | TYPICAL SOURCE                               | NOTE                                                |
|----------------------------------|---------------|----------------------------------------------|-----------------------------------------------------|
| Controlled Technical Information | CUI//SP-CTI   | Drawings, specs, test reports, software docs | Specified; distribution statement required          |
| Export Controlled                | CUI//SP-EXPT  | ITAR or EAR technical data                   | Specified; foreign person access is a deemed export |
| Privacy                          | CUI//SP-PRVCY | Personnel records, PII                       | Specified; Privacy Act rules apply                  |
| Procurement and Acquisition      | CUI//PROCURE  | Source selection information, pre-award data | Basic; Procurement Integrity Act also applies       |
| Critical Infrastructure          | CUI//CRIT     | Facility and system vulnerability data       | Basic or Specified depending on subcategory         |
| Legal                            | CUI//LEGAL    | Litigation and privileged material           | Basic                                               |

## When It Goes Wrong: Spillage and Reporting

CUI on an unauthorized system, sent to an unauthorized person, or exposed in a breach is an incident. Under 7012, an incident affecting covered defense information must be reported to DoD within 72 hours and the affected system images preserved for 90 days. Internally, the response is: contain (stop the spread, pull the email, lock the share), assess (what information, which systems, who had access), report (DoD portal, the CO, and any sub or prime in the chain), and remediate (clean the systems, retrain the person, fix the control that failed). Classified spillage is a separate, more serious process run by the facility security officer under the NISPOM, with DCSA involvement. A company that mixes up the two processes, or treats a CUI incident as an IT ticket, has a bigger problem than the spill.

### ADVANCED

## Over-Marking and Under-Marking: The Government PM's Dilemma

Government PMs control the information tier by what they mark and how they write the contract. Over-marking (treating everything as CUI, or applying Distribution D when B would do) raises the CMMC level, shrinks the pool of eligible contractors, especially small ones, and adds cost to every proposal. Under-

marking exposes real controlled information and puts the contractor in an impossible position: protecting information the government did not identify. The discipline is to mark by category against the CUI Registry, apply distribution statements deliberately, and identify CUI in the contract specifically enough that a contractor can scope its environment. A PM who cannot say which deliverables will be CUI should not be surprised when contractors either overbuild or refuse to bid.

## Information Tiers and the Business Model

The tier of information a company handles shapes what kind of company it is. A firm that stays in FCI territory can use ordinary commercial tools, hire without clearances, and work with any partner. A firm that handles CUI needs the enclave, the certification, cleared-adjacent hiring practices, and certified subs; its cost structure rises and its market narrows to programs that will pay for it. A firm that handles classified needs a cleared facility, cleared staff, an FSO, and a relationship with DCSA; its market narrows further and its margins can rise accordingly, because fewer competitors can enter. Senior leaders choose the tier deliberately, as a market position, rather than drifting into CUI because one contract required it and then discovering the whole company is now in scope.

## Building an Information Handling Program

The components that survive an assessment and an incident.

### A contract-level information inventory SCOPE

For every contract: what tiers and categories, where identified, where stored, which subs receive it.

This is the document the CMMC assessor, the export compliance officer, and the FSO all want first.

### Marking templates and training MARKING

Document templates with banners and distribution statements built in; annual training on what CUI looks like and where it may go.

Most spills are unmarked contractor-generated documents. Templates prevent the omission.

### An enclave with a clear boundary SYSTEMS

CUI lives in one environment. Everyone knows which tools are in it and which are not.

The boundary is only real if it is enforced: data loss prevention, no personal devices, no forwarding out.

### An incident process that has been rehearsed RESPONSE

Named responders, the DoD reporting certificate already obtained, a checklist, a tabletop exercise annually.

72 hours is short. The process has to exist before the clock starts.

**Sub and supplier flow-down tracking** SUPPLY CHAIN

Which subs receive which tiers, and the certification and clause status of each.

The prime is responsible for information it passes down. Passing less of it down is the cheapest control.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They know the information tier on every contract and where each tier lives. They get CUI identification in writing at kickoff. They choose the government variants of cloud tools and configure them, rather than assuming a big vendor name is enough. They pass the minimum information to subs. And they treat the tier of information the company handles as a strategic choice about what market the company is in.

**BUILD ON THIS**

- **CMMC and DFARS 7012** The certification CUI triggers
- **Export Controls: ITAR and EAR** The specified CUI category with its own law
- **Facility and Personnel Security** The classified tier

## Key Terms

### Federal Contract Information (FCI)

Information not intended for public release that is provided by or generated for the government under a contract. Excludes information the government makes public and simple transactional data like invoices.

### Controlled Unclassified Information (CUI)

Unclassified information that law, regulation, or government-wide policy requires to be protected or dissemination-controlled. Defined by the CUI Registry maintained by the National Archives.

### CUI Basic vs. CUI Specified

CUI Basic follows the standard handling rules. CUI Specified categories carry additional handling requirements set by their underlying law, such as export-controlled technical data.

### Covered Defense Information (CDI)

DoD's term in DFARS 7012 for unclassified controlled technical information and other CUI that is marked or identified in the contract and provided to or generated by the contractor.

### Controlled Technical Information (CTI)

Technical data or computer software with military or space application subject to access and dissemination controls. The most common category of CUI on DoD engineering contracts.

### Classified Information

Information designated Confidential, Secret, or Top Secret under Executive Order 13526 because its unauthorized disclosure could damage national security. Handled under the NISPOM, not the CUI program.

### Marking

The banner and portion markings that identify controlled information. For CUI: "CUI" or "CONTROLLED," category markings, and dissemination controls. Government originators mark; contractors mark what they generate under the contract.

### Distribution Statement

DoD statements (A through F) on technical documents defining who may receive them. Distribution A is public release; B through F restrict to specific audiences.

### Spillage

Controlled or classified information ending up on a system not authorized to hold it. Triggers incident reporting and, for classified, a formal security incident.

### FedRAMP Moderate Equivalent

The bar a cloud service must meet before a contractor may store CUI in it under DFARS 7012. A commercial cloud that is merely "secure" does not qualify.

## Knowledge Check

Which tier of information is present on nearly every government contract and triggers the FAR's 15 basic safeguards?

- A. Classified
- B. CUI

✓ C. Federal Contract Information

- D. Export-controlled data

### WHY

FCI is non-public information provided or generated under contract. It triggers the basic safeguarding clause (52.204-21, renumbered 52.240-93 under the FAR overhaul) and CMMC Level 1.

What defines whether information is CUI?

- A. The contractor's judgment

✓ B. A law, regulation, or government-wide policy requiring protection, with categories listed in the CUI Registry

- C. The dollar value of the contract
- D. Whether it is marked "proprietary"

### WHY

CUI is defined by the CUI Registry maintained by the National Archives, not by the contractor or the contract value.

A contractor produces engineering drawings for a weapon system under contract. Are those drawings CUI?

- A. No; only government-provided information is CUI

✓ B. Yes; contractor-generated Controlled Technical Information is CUI and must be marked and protected

- C. Only if the government marks them later
- D. Only if they are classified

### WHY

CTI generated under the contract inherits the controls the moment it exists.

**Under what program is classified information handled?**

A. The CUI program and 800-171

✓ **B. The National Industrial Security Program (NISPOM), with facility and personnel clearances**

C. CMMC Level 2

D. FedRAMP

**WHY**

Classified follows the NISPOM and DCSA oversight, not the CUI rules.

**What bar must a cloud service meet before a contractor stores CUI in it under DFARS 7012?**

A. Any encryption

✓ **B. FedRAMP Moderate equivalent, plus incident reporting and preservation obligations**

C. A major vendor name

D. ISO 27001 only

**WHY**

DoD has defined equivalency close to actual FedRAMP Moderate authorization. Commercial variants of cloud products generally do not qualify.

**What does Distribution Statement A on a DoD technical document mean?**

A. DoD only

✓ **B. Approved for public release**

C. Contractors only

D. Export controlled

**WHY**

Distribution A is public release. B through F restrict the audience.

**An engineer emails a CUI drawing to a supplier from a personal account. What is this?**

A. An IT ticket

✓ **B. A reportable incident (spillage) requiring containment, assessment, DoD reporting within 72 hours, and remediation**

C. Acceptable if the supplier is trusted

D. A classified security violation

**WHY**

CUI on an unauthorized system or sent outside the boundary is an incident under 7012.

**Why does over-marking information as CUI matter to a government PM?**

A. It has no effect

✓ **B. It raises the required CMMC level and shrinks the pool of eligible contractors, adding cost**

C. It makes the contract classified

D. It reduces the need for a DD 254

**WHY**

Marking by category against the registry keeps the requirement, and the competitive field, proportionate.

**Which marking indicates export-controlled CUI?**

A. CUI//SP-CTI

✓ **B. CUI//SP-EXPT**

C. CUI//PROCURE

D. CUI//LEGAL

**WHY**

SP-EXPT is the export-controlled specified category; foreign person access to it is a deemed export.

**Match the tier to what it triggers:****CORRECT MATCHES**

|            |                                             |
|------------|---------------------------------------------|
| FCI        | FAR basic safeguarding; CMMC Level 1        |
| CUI        | DFARS 7012, NIST 800-171; CMMC Level 2 or 3 |
| Classified | NISPOM, facility and personnel clearances   |

**WHY**

FCI triggers basic safeguarding and Level 1; CUI triggers 7012/800-171 and Level 2 or 3; classified triggers the NISPOM and clearances.

**Order the response to a CUI spill:****CORRECT ORDER**

1. Contain: stop the spread, lock the share, recall the email
2. Assess: what information, which systems, who had access
3. Report: DoD portal within 72 hours, the CO, and the chain
4. Remediate: clean systems, retrain, fix the failed control

**WHY**

Contain, assess, report, remediate.

**What is the most useful first document for a CMMC assessor, an export compliance officer, and an FSO alike?**

- A. The org chart
- ✓ **B. A contract-level inventory of information tiers, categories, storage locations, and sub recipients**
- C. The price list
- D. The CPARS record

**WHY**

The information inventory defines scope for every compliance regime in this module.

## THE COMPLIANCE STACK · LESSON 3

# Export Controls: ITAR and EAR for People Who Are Not Lawyers

26 min

*The two export control regimes every defense contractor lives under, explained without the statute. What the ITAR covers and what the EAR covers, why hiring a foreign national can be an export, what registration, licenses, and technical assistance agreements are, how programs get into trouble, and the voluntary disclosure that turns a violation into a manageable event.*

## You Are Probably Already an Exporter

Most defense contractors never ship anything overseas and assume export controls are someone else's problem. Then they hire an engineer on a work visa and give them access to the drawings, or email a specification to a foreign-owned supplier, or present at a conference with international attendees, and discover that each of those was an export. Export controls regulate the movement of controlled items and information to foreign persons, wherever that movement happens, including inside a U.S. office. This lesson explains the two regimes, how to tell which one applies, and the handful of situations where a program manager's ordinary decisions become export decisions.

## ITAR vs. EAR

|                                     | ITAR                                                                                                                      | EAR                                                                                                                              |
|-------------------------------------|---------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| Administered by                     | State Department, DDTC                                                                                                    | Commerce Department, BIS                                                                                                         |
| Covers                              | Defense articles, defense services, and technical data on the U.S. Munitions List                                         | Dual-use and less sensitive military items on the Commerce Control List; everything else as EAR99                                |
| Default posture                     | Licensed or authorized, nearly always; very few exemptions                                                                | Depends on the item's ECCN, the destination, the end user, and the end use; many items need no license to most countries         |
| Registration                        | Required for manufacturers and exporters of defense articles, even with no exports                                        | Not required                                                                                                                     |
| Typical defense contractor exposure | Technical data on weapon systems; defense services to allies; foreign national employees                                  | Components and technology that migrated off the USML in the export control reform; commercial-derived items                      |
| Penalties                           | Civil penalties per violation in the high six figures and up; criminal penalties up to 20 years; debarment from exporting | Civil penalties per violation in the six figures or twice the transaction value; criminal penalties; denial of export privileges |

### Which Regime Applies: Classification Comes First

Every controlled item and every piece of technical data has a classification: a USML category under ITAR, or an ECCN under the EAR, or EAR99. That classification determines everything downstream. The manufacturer or developer is responsible for classifying its own products, using the order of review the regulations set out: check the USML first, then the CCL. When the answer is unclear, a company can request a commodity jurisdiction determination from DDTC or a classification from BIS. On a government program, the government often supplies the classification of the items and data it provides, but the contractor is responsible for what it generates. A PM should know the classification of the technical data on the program the way they know its CUI category, because the two usually go together.

### The Deemed Export: Where Programs Get Caught

Releasing ITAR technical data or controlled EAR technology to a foreign person, anywhere, is an export to that person's home country. A foreign person is anyone who is not a U.S. citizen, permanent resident, or protected individual. That includes employees on work visas, foreign national students, and visiting engineers from allied companies. A foreign national engineer with access to the program's shared drive has received every controlled drawing on it, whether or not they opened one. The practical consequences: hiring a foreign person into a role that touches controlled technical data requires either a license (a deemed export license from BIS, or DDTC authorization) before they get access, or a job design and system access

that keeps them away from the controlled data. HR, IT, and the program have to coordinate, and most companies that get this wrong got it wrong because those three functions never talked.

#### ASK THE U.S. PERSON QUESTION AT THE REQUISITION

The question "is this person a U.S. person" is a legal question, not a personal one. It is asked about the role, not the individual, and it should be answered the same way for everyone. Companies that skip it to avoid an awkward conversation end up in a voluntary disclosure explaining why a visa holder had two years of access to controlled technical data. Ask it at the job requisition stage, for every role that touches controlled information, and document the answer.

## Everyday Actions That Are Exports

- **Giving a foreign national employee system access to controlled drawings** A deemed export. Needs authorization or access restriction before day one.
- **Emailing a specification to a supplier's overseas office** An export to that country. The supplier being a well-known company does not matter.
- **Presenting technical detail at a conference with foreign attendees** Release to foreign persons. Public domain exemptions exist but are narrow and require prior approval for ITAR data.
- **Letting an allied partner's engineer sit in on a design review** A defense service and technical data release. Usually requires a TAA.
- **Uploading controlled data to a cloud service with servers or administrators abroad** Potentially an export, unless the service meets the end-to-end encryption carve-out and access is controlled.
- **Carrying a laptop with controlled data on a business trip abroad** An export on departure. Temporary export licenses and exemptions exist; using them requires planning.

## Registration, Licenses, and Agreements

Under ITAR, any U.S. company that manufactures defense articles or furnishes defense services must register with DDTC and renew annually, whether or not it exports. Registration is a prerequisite for any license. Actual exports of hardware require an export license; technical data and defense services to foreign parties generally require a Technical Assistance Agreement or, for manufacturing abroad, a Manufacturing License Agreement. These are negotiated documents with DDTC approval that can take months. Under the EAR, no registration is required, and whether a license is needed depends on the ECCN, the destination country, the end user, and the end use, checked against the regulations and the restricted party lists. Both regimes require screening every foreign party against the government's denied and restricted party lists before any transaction.

One sentence to teach your team: **export controls are about who receives controlled information, not where it is shipped, so giving a foreign person access to ITAR technical data inside your own building is an export that needs a license first.**

#### INTERMEDIATE

## Export Control Reform and the Migration to the EAR

Between 2013 and 2020, the government moved many less sensitive military items from the USML to the CCL, creating the "600 series" ECCNs on the EAR side. The effect is that a great deal of defense hardware and technology that used to be ITAR is now EAR, with more flexible licensing, especially to allies. But the migration created a classification trap: companies that classified their products a decade ago may be applying ITAR to items that are now EAR (over-compliance that costs business) or, less often, assuming an item moved when it did not. Classifications need to be revisited when the lists change, and the lists change. A program's technical data may include items in both regimes, each with its own rules.

## Allied Programs and the TAA

Many defense programs involve allied partners: foreign military sales, cooperative development, coalition operations. The contractor supporting such a program will be asked to provide technical data and defense services to foreign government and industry personnel, and under ITAR each such release needs authorization. The standard vehicle is the Technical Assistance Agreement: a DDTC-approved agreement between the U.S. company and the foreign parties that defines the scope of what may be shared, with whom, for what purpose, and with what provisos. TAAs take months to negotiate and approve and are often the schedule-critical item on an allied program. A PM who learns about the need for a TAA when the partner's engineers arrive has already slipped the program. Recent reforms for close allies (AUKUS partners in particular) have created exemptions that reduce some of this burden; verify current DDTC guidance for the countries involved.

## The Program Manager's Export Control Checklist

| WHEN                               | QUESTION                                                                                                         | WHO ANSWERS                                                                         |
|------------------------------------|------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| At kickoff                         | What is the export classification of the government-furnished and contractor-generated technical data?           | Program with the export compliance officer; government supplies its classifications |
| At staffing                        | Does this role touch controlled data, and is the candidate a U.S. person? If not, license or access restriction? | HR, IT, and export compliance, before the offer                                     |
| At subcontracting                  | Is the sub a U.S. company, foreign-owned, or abroad? What will it receive?                                       | Contracts and export compliance; restricted party screening                         |
| At any partner interaction         | Is there a TAA or license covering this release?                                                                 | Export compliance; the PM confirms the scope matches                                |
| At travel                          | Does the laptop or the briefing contain controlled data? Is an exemption or license in place?                    | Traveler and export compliance                                                      |
| At every conference or publication | Has the material been reviewed for controlled content?                                                           | Export compliance and, for public release, the government                           |

## Foreign Ownership: FOCI and the Contractor

When a U.S. defense contractor is owned or controlled by foreign interests (Foreign Ownership, Control, or Influence), the government imposes mitigation before the company can hold classified contracts, and export licensing treats the foreign parent as a foreign person. FOCI mitigation ranges from board resolutions to proxy agreements that put the U.S. operations under independent control. For a program, the practical point is that a partner or sub that is foreign-owned may be subject to restrictions on what it can receive, even if its employees are all U.S. persons and its office is in Virginia. Ownership is part of the screening.

### ADVANCED

## Building a Program That Does Not Need a Disclosure

Export compliance at the program level is four practices. Classify the technical data on the program and label it (the CUI export-controlled marking and the ITAR or EAR warning notice). Restrict access by role, with a technology control plan that lists who may access controlled data and how foreign persons, if any, are walled off. Screen every external party (subs, suppliers, partners, visitors) against the restricted party lists before engagement, and re-screen periodically. And maintain records: who accessed what, what was released to whom under which authorization. The records are what make a disclosure, if one is ever needed, a controlled event rather than a reconstruction.

## When You Find a Violation: Voluntary Self-Disclosure

Both DDTC and BIS treat voluntary self-disclosure as a major mitigating factor, and both publish penalty decisions that show the difference: companies that disclosed and cooperated received a fraction of the penalties applied to those that were caught. The process: stop the activity, preserve the evidence, engage export counsel, conduct an internal review to establish the facts and scope, submit an initial notification promptly, and follow with a full disclosure including corrective actions. The corrective actions are what the agencies look at most closely; a disclosure that says "we fixed the process, trained the people, and audited the results" is treated very differently from one that says "it will not happen again." Senior leaders who discover a problem call counsel that day, because the mitigation credit depends on disclosing before the government finds it.

## Enforcement Fact Patterns

The cases that recur in DDTC and BIS consent agreements.

### The foreign national engineer DEEMED EXPORT

Years of unlicensed access to ITAR technical data by visa-holding employees.

The most common pattern. Usually discovered during due diligence for a sale or a new compliance officer's review.

Fix: role-based U.S. person requirements and access controls tied to HR status.

### The overseas supplier UNLICENSED EXPORT

Drawings sent to a foreign supplier for quotes without a license.

Purchasing departments do this routinely without knowing the drawings are controlled. Fix: classification labels on drawings and a purchasing gate.

### The misclassified product CLASSIFICATION

Exporting an ITAR item as EAR99 based on an old or wrong classification.

Classification errors compound across every shipment. Fix: periodic reclassification and a commodity jurisdiction request when unsure.

### The helpful conference talk PUBLIC RELEASE

Technical detail beyond the public domain presented to an international audience.

Fix: a review gate for all external presentations and publications.

### The unscreened partner RESTRICTED PARTY

Business with an entity on a denied or restricted list.

Strict liability in effect. Fix: automated screening at onboarding and re-screening on list updates.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They classify the program's technical data at kickoff and label it. They put the U.S. person question into the hiring process for every controlled role. They start the TAA the day an allied partner appears on the program. They screen every external party and keep the records. And when they find a violation, they disclose it with counsel before anyone else finds it, with the corrective actions already underway.

**BUILD ON THIS**

- **CUI, FCI, and Classified** Export-controlled data as a specified CUI category
- **Facility and Personnel Security** FOCI and cleared facilities
- **Subcontractor Management** Screening and flow-down to subs

## Key Terms

### ITAR

International Traffic in Arms Regulations. Administered by the State Department's Directorate of Defense Trade Controls (DDTC). Controls defense articles, defense services, and related technical data on the U.S. Munitions List.

### EAR

Export Administration Regulations. Administered by the Commerce Department's Bureau of Industry and Security (BIS). Controls dual-use and less sensitive military items on the Commerce Control List, plus everything else (EAR99).

### U.S. Munitions List (USML)

The 21 categories of defense articles under ITAR, from firearms to spacecraft. If an item, or its technical data, is on the USML, ITAR applies.

### Commerce Control List (CCL) and ECCN

The EAR's list of controlled items, each with an Export Control Classification Number. Items not on the CCL are EAR99 and require a license only for restricted destinations or end users.

### Technical Data

Under ITAR, information required for the design, development, production, operation, maintenance, or modification of a defense article: blueprints, drawings, specifications, software. The form most contractors actually handle.

### Deemed Export

Releasing controlled technical data to a foreign person inside the United States. Treated as an export to that person's country. The reason a hiring decision can be an export control decision.

### Foreign Person

Anyone who is not a U.S. citizen, U.S. permanent resident (green card holder), or protected individual under immigration law. Visa holders, including long-term work visa holders, are foreign persons for export control purposes.

### DDTC Registration

The requirement that any U.S. company manufacturing or exporting defense articles, or furnishing defense services, register with DDTC and pay an annual fee, whether or not it ever exports.

### Technical Assistance Agreement (TAA)

An ITAR authorization for providing defense services or technical data to a foreign party, common on programs with allied partners. Negotiated and approved by DDTC before the assistance begins.

### Voluntary Self-Disclosure

Reporting a violation to DDTC or BIS before the government discovers it. A significant mitigating factor in penalties, and the standard response when a company finds a problem.

## Knowledge Check

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Which agency administers the ITAR?

- A. Commerce Department, BIS
- ✓ B. State Department, DDTC
- C. Defense Department, DCSA
- D. Treasury, OFAC

### WHY

DDTC at State administers ITAR; BIS at Commerce administers the EAR.

What is a "deemed export"?

- A. Shipping hardware overseas
- ✓ B. Releasing controlled technical data to a foreign person inside the United States, treated as an export to that person's country
- C. A license application
- D. A public domain exemption

### WHY

Deemed exports are why hiring and system access decisions are export control decisions.

Under export control rules, which of the following is a "foreign person"?

- A. A U.S. permanent resident
- B. A naturalized U.S. citizen
- ✓ C. An engineer on a long-term work visa
- D. A protected individual under immigration law

### WHY

Visa holders are foreign persons regardless of how long they have worked in the U.S. Citizens, permanent residents, and protected individuals are U.S. persons.

**A U.S. company manufactures a defense article but never exports. Must it register with DDTTC?**

A. No; registration is only for exporters

✓ **B. Yes; manufacturers of defense articles must register and renew annually**

C. Only if it has foreign employees

D. Only for USML Category I

**WHY**

ITAR registration is required for manufacturers and exporters of defense articles regardless of export activity.

**What is the standard ITAR authorization for providing technical data and defense services to allied partners on a program?**

A. An ECCN

✓ **B. A Technical Assistance Agreement approved by DDTTC**

C. A DD 254

D. A commodity jurisdiction request

**WHY**

TAAAs define the scope of what may be shared with foreign parties and take months to negotiate and approve.

**What did export control reform (2013 to 2020) do?**

A. Eliminated the EAR

✓ **B. Moved many less sensitive military items from the USML to the CCL as 600 series ECCNs**

C. Made all defense articles EAR99

D. Removed the deemed export rule

**WHY**

The migration created the 600 series and means many items that used to be ITAR are now EAR, requiring reclassification.

**A purchasing clerk emails controlled drawings to a foreign supplier for a quote. What happened?**

A. Nothing; quotes are exempt

✓ **B. An unlicensed export of technical data**

C. A deemed export

D. A permitted public release

**WHY**

Sending controlled technical data abroad is an export regardless of purpose. Classification labels and a purchasing gate prevent it.

**Why is voluntary self-disclosure the standard response to discovering a violation?**

A. It is legally required in all cases

✓ **B. It is a major mitigating factor; disclosed violations receive far lower penalties than those the government discovers**

C. It eliminates all liability

D. It avoids the need for corrective action

**WHY**

Both DDTC and BIS reward disclosure and cooperation, especially when corrective actions are already underway.

**Before engaging any foreign party, a company must:**

A. Obtain a DD 254

✓ **B. Screen the party against the government's denied and restricted party lists**

C. Register with BIS

D. File a TAA

**WHY**

Restricted party screening applies under both regimes and is effectively strict liability.

**Match the concept to the regime:****CORRECT MATCHES**

|                                |      |
|--------------------------------|------|
| U.S. Munitions List            | ITAR |
| ECCN and Commerce Control List | EAR  |
| Technical Assistance Agreement | ITAR |
| EAR99                          | EAR  |

**WHY**

USML, DDTC registration, and TAAs are ITAR; the CCL, ECCNs, and EAR99 are EAR.

**Order the steps of a voluntary self-disclosure:****CORRECT ORDER**

1. Stop the activity and preserve evidence
2. Engage export counsel
3. Conduct an internal review to establish facts and scope
4. Submit an initial notification to the agency
5. Submit the full disclosure with corrective actions

**WHY**

Stop, preserve, engage counsel, review, initial notification, full disclosure with corrective actions.

**A partner company is located in the U.S. with all U.S.-person employees but is owned by a foreign parent. For export control purposes:**

A. No restrictions apply

**✓ B. The foreign ownership is part of the screening and may restrict what the partner can receive; FOCI mitigation may apply for classified work**

C. It is treated as a U.S. government entity

D. It is exempt from ITAR

**WHY**

Ownership matters. A foreign-owned U.S. company can be subject to release restrictions and FOCI mitigation.

## THE COMPLIANCE STACK · LESSON 4

# Facility and Personnel Security: Clearances as a Business Constraint

25 min

*How a company becomes cleared, how its people do, and why both take longer than any program schedule allows. The NISPOM, sponsorship, the DD 254, the facility security officer, personnel clearance tiers and continuous vetting, reciprocity, insider threat, and the arithmetic of staffing a cleared program.*

## The Constraint Nobody Plans For

Ask a PM why a cleared program is behind schedule and the answer is usually the same: we cannot find cleared people, or the ones we hired are still waiting. Clearances are the binding constraint on a large share of defense work, and unlike most constraints they cannot be bought, rushed, or negotiated around. This lesson explains the system: how a company becomes cleared, how its people do, what the DD 254 controls, and how to plan a program around the fact that the clearance pipeline runs on the government's timeline, not yours.

## The Facility Clearance: You Cannot Just Apply

A company needs a facility clearance to access classified information, and it cannot get one by asking. An FCL must be sponsored: by a government activity that has a classified requirement for the company, or by a cleared prime that needs the company as a sub on a classified contract. The sponsor certifies the need, DCSA opens the process, the company's key management personnel are cleared, foreign ownership is examined, and the company signs the security agreement. The FSO is appointed and trained. Only then can the facility hold a clearance, and the company's people can begin to be sponsored for their own. The circularity is real. A company cannot win classified work without an FCL, and cannot get an FCL without a sponsor who wants it for classified work. The way in is almost always as a sub to a cleared prime, or through a government customer who has decided the company is worth sponsoring. It takes months at best.

## The Cleared Facility, Piece by Piece

| ELEMENT                   | WHAT IT IS                                                               | WHY IT MATTERS                                                                                        |
|---------------------------|--------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|
| Sponsorship               | A government activity or cleared prime certifying a classified need      | No sponsor, no FCL. The first business development task for classified work                           |
| Key Management Personnel  | Owners, officers, and directors cleared or formally excluded             | A single uncleared owner who will not be excluded blocks the FCL                                      |
| FOCI review               | Examination of foreign ownership, control, or influence                  | Foreign investment can require mitigation agreements before clearance                                 |
| Facility Security Officer | The cleared employee who runs the security program                       | Required; DCSA holds the FSO accountable for the program                                              |
| Security agreement        | The company's commitment to the NISPOM                                   | Binding; violations can cost the FCL                                                                  |
| Safeguarding capability   | Approved storage and spaces, if the company will hold classified on site | Many small companies hold an FCL without safeguarding; their people work at government or prime sites |

## The DD 254: The Contract's Security Instructions

Every classified contract, and every classified subcontract, carries a DD Form 254. It specifies the level of clearance the contractor needs, whether the contractor will receive or generate classified information and at what level, whether it needs safeguarding capability, what special access or compartments are involved, and how classified material is to be handled and returned. The prime issues DD 254s to its cleared subs, flowing down the relevant portions. A PM should read the DD 254 with the same attention as the SOW, because it determines which staff can work the program, where they can work, and what the company must be able to store.

## Personnel Clearances: Tiers, Time, and the Pipeline

An individual's clearance starts with sponsorship by a cleared employer for a specific need, a security questionnaire (the SF-86, now completed online), a background investigation at the appropriate tier, and adjudication by DCSA's adjudication facility against the national guidelines. Secret eligibility uses a Tier 3 investigation; Top Secret uses Tier 5, which involves interviews, deeper record checks, and much more time. Interim clearances can be granted while the investigation runs, at the sponsor's request and DCSA's discretion, and many programs run on interims. Processing times have improved from their worst but remain measured in months, and Top Secret with special access can take a year or more. Continuous vetting has replaced periodic reinvestigation for most cleared people: rather than a new investigation every five or ten years, automated checks run continuously and flag issues. For a company, that means fewer surprise

lapses but also faster surfacing of problems (financial, legal, foreign contact) that can suspend an employee's access with little notice.

#### ON CLEARANCES, THERE IS NO FREE OPTION

On a cleared program, an uncleared hire is a cost with no revenue for as long as the investigation takes. Companies that hire ahead of clearance carry that cost on overhead, sometimes for months, sometimes to find the person is denied. Companies that hire only already-cleared people pay a premium for them and compete with every other contractor for the same pool. There is no free option. The plan has to include the pipeline, the cost of carrying people through it, and the risk that some do not come out the other side.

## What Can Delay or Deny a Clearance

The adjudicative guidelines cover thirteen areas. The ones that most often affect defense contractor staff:

- **Financial considerations** Unpaid debts, bankruptcies, tax problems. The single most common reason for denial or delay. Continuous vetting flags new financial issues quickly.
- **Foreign influence and foreign preference** Foreign contacts, foreign family, foreign assets, dual citizenship. Not disqualifying by themselves, but every one must be disclosed and explained.
- **Personal conduct** Omissions or false statements on the questionnaire. Leaving something off is worse than the thing itself.
- **Drug involvement** Recent use, including of substances legal under state law. Federal rules control.
- **Criminal conduct and alcohol** Pattern and recency matter.
- **Handling protected information and IT misuse** Prior security violations, including CUI mishandling, count.

One sentence to teach your team: **a company cannot clear itself or its people without a sponsor, the process runs on the government's timeline, and every cleared program plan has to include the months and the cost of getting people through the pipeline.**

#### INTERMEDIATE

## Reciprocity: Moving a Clearance Between Employers and Agencies

When a cleared person changes employers, the new employer takes ownership of the clearance in the government's personnel security system; the investigation does not restart if the clearance is current and there has been no significant break in access. When a person moves between agencies, reciprocity is supposed to apply: an existing clearance at the same or higher level should be accepted without a new investigation. In practice, agencies and programs sometimes add their own requirements (polygraphs,

additional checks for special access), and gaps in access of more than two years can require a new investigation. A PM staffing a program should verify each candidate's clearance status in the system, its level, its currency, and any break in access, before relying on it. "I have a clearance" and "I have a current, transferable clearance at the level this program needs" are different sentences.

## Insider Threat, Reporting, and the FSO's Program

The NISPOM requires every cleared contractor to have an insider threat program with a designated senior official, training for cleared employees, and procedures for reporting. It also requires cleared employees to report a range of things about themselves and their colleagues: foreign contacts and travel, financial problems, arrests, and behaviors that could indicate a risk. The FSO runs the program, conducts the training, files the reports with DCSA, and manages security violations and incidents. On a program, the PM works with the FSO on visit requests, classified meeting arrangements, courier authorizations, and the handling of any incident. An FSO who is not involved in the program's planning finds out about classified requirements when they have already become problems.

## Staffing Arithmetic for a Cleared Program

| APPROACH                                         | COST                                                            | TIME                                       | RISK                                                       |
|--------------------------------------------------|-----------------------------------------------------------------|--------------------------------------------|------------------------------------------------------------|
| Hire already-cleared staff                       | Premium salaries; competition for a small pool                  | Weeks to transfer the clearance            | Low, if the clearance is current and transferable          |
| Hire and sponsor for clearance                   | Overhead cost while waiting; possible denial                    | Months (Secret) to a year or more (TS/SCI) | Medium to high; plan for attrition                         |
| Use interim clearances                           | Same as sponsoring, but earlier productivity                    | Weeks for the interim, if granted          | Interim can be withdrawn; not all programs accept interims |
| Subcontract to a cleared firm                    | Sub markup; workshare implications                              | Fast if the sub has people                 | Dependence; limitations on subcontracting for set-asides   |
| Structure the work to minimize cleared positions | Engineering effort to separate classified and unclassified work | Design-time decision                       | Not always possible; the DD 254 governs                    |

## Safeguarding: Whether You Need a Vault

Many cleared companies never hold classified material on their own premises; their cleared staff work at government or prime facilities where the classified environment already exists. Their FCL is "non-possessing." A company that needs to store or process classified information at its own site needs safeguarding approval: an accredited closed area or open storage, approved containers, alarm systems, access controls, and for classified IT, a system accredited under the relevant framework. This is expensive and slow to establish, and DCSA inspects it. The decision to become possessing is a strategic one, taken when the volume of classified work justifies the cost, not because one contract would be more convenient.

## ADVANCED

## Special Access Programs and Compartments

Above the collateral levels (Confidential, Secret, Top Secret) sit compartmented and special access programs: Sensitive Compartmented Information for intelligence, and SAPs for particular defense programs. Access requires the base clearance plus program-specific approval (a "read-in"), often a polygraph, and sometimes a separate facility accreditation. SAP work brings its own security officers, its own rules, and its own reporting. Staffing is harder still, because the pool of people with the specific accesses is tiny and the read-in process adds months. Companies that pursue SAP work build it as a distinct capability with its own staffing pipeline, rather than treating it as classified work with extra steps.

## Security as a Competitive Position

Because the FCL requires a sponsor and cleared people take months to produce, a company that has both holds an advantage that competitors cannot buy quickly. Cleared staff are a scarce resource; a company with a bench of them can bid work others cannot. This is why cleared companies are valued higher in acquisitions and why retaining cleared employees is treated as a business priority, not an HR nicety. It is also why the clearance status of key personnel appears in proposals, why customers ask about it in sources sought responses, and why a company losing a cleared program should fight to keep its cleared people through the transition, because a cleared workforce that scatters cannot be reassembled.

## A Cleared Program From Kickoff to Closeout

The security actions that happen alongside the technical work.

### Kickoff: Read the DD 254 with the FSO START

Level, safeguarding, special access, generation authority, and sub flow-down.

Identify every position that needs a clearance and at what level. Compare to the staff you have.

### Staffing: Verify, sponsor, and carry PEOPLE

Verify existing clearances in the system; sponsor new ones immediately; budget the overhead carry.

Track each candidate's status weekly. The pipeline is the program's critical path.

### Subs: Issue DD 254s and confirm FCLs SUPPLY CHAIN

Every cleared sub needs its own DD 254 from the prime and a current FCL.

An uncleared sub cannot receive classified information, and sponsoring one for an FCL takes months.

### Performance: Visits, meetings, and incidents OPS

Visit requests through the system before every classified meeting; incidents reported through the FSO.

A classified meeting without visit authorization is an incident. Plan them weeks ahead.

**Closeout: Return or destroy, debrief, and retain the FCL** END

Classified material returned or destroyed per the DD 254; staff debriefed from the program; the company's FCL needs continuing classified work to stay active.

An FCL with no classified contracts can be administratively terminated. Keep the pipeline of classified work alive or plan to lose the clearance.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They treat the clearance pipeline as the program's critical path and track it like one. They involve the FSO in capture and planning, not just in incidents. They verify every clearance in the system before counting on it. They decide deliberately whether to become a possessing facility. And they protect their cleared workforce as the scarce asset it is, because the FCL and the cleared bench are what let the company bid work others cannot.

**BUILD ON THIS**

- **CUI, FCI, and Classified** Where classified sits among the information tiers
- **Export Controls** FOCI and foreign persons
- **Unit Economics of a Billable Hour** The overhead cost of carrying uncleared hires

## Key Terms

### **NISPOM**

The National Industrial Security Program Operating Manual, now codified at 32 CFR Part 117. The rulebook for contractors that access classified information.

### **DCSA**

The Defense Counterintelligence and Security Agency. Oversees cleared contractor facilities, conducts most personnel security investigations, and adjudicates clearances for industry.

### **Facility Clearance (FCL)**

An administrative determination that a company is eligible to access classified information at a given level. Requires government or cleared-prime sponsorship tied to a legitimate need; a company cannot apply on its own.

### **DD Form 254**

The Contract Security Classification Specification. Attached to any classified contract, it tells the contractor what level of access is required, what may be generated, and how it must be handled.

### **Facility Security Officer (FSO)**

The cleared employee responsible for the company's security program under the NISPOM. Required for every cleared facility; the government's point of contact.

### **Personnel Clearance (PCL)**

An individual's eligibility for access to classified information at a level (Confidential, Secret, Top Secret), based on a background investigation and adjudication.

### **Tier 3 and Tier 5 Investigations**

The investigation levels for Secret (Tier 3) and Top Secret (Tier 5) eligibility. Tier 5 is substantially deeper and slower.

### **Continuous Vetting**

The replacement for periodic reinvestigations: ongoing automated checks of cleared individuals against records, with issues flagged as they arise.

### **Reciprocity**

The principle that an existing clearance at one agency should be accepted by another without a new investigation. Works better in theory than in practice, but has improved.

### **Key Management Personnel (KMP)**

The owners, officers, and directors of a cleared company who must themselves be cleared (or formally excluded) as a condition of the facility clearance.

## Knowledge Check

---

How does a company obtain a facility clearance?

A. By applying directly to DCSA

✓ B. Through sponsorship by a government activity or cleared prime with a classified need

C. By hiring cleared employees

D. By registering in SAM

### WHY

An FCL must be sponsored. A company cannot apply on its own.

What does the DD Form 254 specify?

A. Contract pricing

✓ B. The clearance level, access, generation authority, safeguarding, and handling requirements for a classified contract

C. The NAICS code

D. Data rights assertions

### WHY

The DD 254 is the contract's security specification and flows down to cleared subs.

Which investigation tier supports Top Secret eligibility?

A. Tier 1

B. Tier 3

✓ C. Tier 5

D. Tier 7

### WHY

Tier 5 supports Top Secret; Tier 3 supports Secret.

**What has continuous vetting replaced?**

A. The SF-86

✓ **B. Periodic reinvestigations every five or ten years**

C. The DD 254

D. Interim clearances

**WHY**

Automated ongoing checks flag issues as they arise, instead of waiting for a periodic reinvestigation.

**What is the most common reason for clearance denial or delay?**

A. Foreign travel

✓ **B. Financial considerations such as unpaid debts and tax problems**

C. Prior military service

D. Age

**WHY**

Financial issues are the leading adjudicative concern; omissions on the questionnaire are the most damaging.

**Who must be cleared or formally excluded as a condition of a facility clearance?**

A. All employees

✓ **B. Key Management Personnel: owners, officers, and directors**

C. The subcontractors

D. The customer

**WHY**

KMP must be cleared or excluded. An uncleared owner who will not be excluded blocks the FCL.

**A candidate says "I have a clearance." What should the PM verify before counting on it?**

A. Nothing; take their word

✓ **B. The level, currency, transferability, and any break in access, in the government's personnel security system**

C. Their salary history

D. Their CPARS

**WHY**

Breaks in access over two years can require a new investigation; program-specific requirements may add steps.

**What is a "non-possessing" facility clearance?**

A. A clearance that has expired

✓ **B. An FCL where the company does not store classified material on its own premises; staff work at government or prime sites**

C. A clearance for foreign-owned companies

D. An interim FCL

**WHY**

Many small cleared companies are non-possessing. Safeguarding approval is a separate, expensive step.

**What can happen to an FCL when a company has no classified contracts?**

A. Nothing; it is permanent

✓ **B. It can be administratively terminated**

C. It converts to a personnel clearance

D. It is transferred to a sub

**WHY**

The FCL depends on a continuing classified need. Companies keep it by keeping classified work in the pipeline.

**Match the term to its role:****CORRECT MATCHES**

|                     |                                                        |
|---------------------|--------------------------------------------------------|
| DCSA                | Oversees cleared facilities and adjudicates clearances |
| FSO                 | Runs the company's security program                    |
| DD 254              | The contract's security classification specification   |
| NISPOM (32 CFR 117) | The rulebook for cleared contractors                   |

**WHY**

DCSA oversees and adjudicates; the FSO runs the company program; the DD 254 specifies contract security; the NISPOM is the rulebook.

**Order the steps to a personnel clearance:****CORRECT ORDER**

1. Cleared employer sponsors the individual for a specific need
2. Individual completes the security questionnaire
3. Background investigation at the appropriate tier
4. Adjudication against the national guidelines
5. Continuous vetting while cleared

**WHY**

Sponsorship, questionnaire, investigation, adjudication, then continuous vetting.

**Why are cleared employees treated as a strategic asset?**

- A. They are paid less
- ✓ **B. Clearances take months and require sponsorship, so a cleared bench lets a company bid work competitors cannot and raises its value in acquisitions**
- C. They are exempt from export controls
- D. They do not require training

**WHY**

Scarcity and lead time make cleared staff a competitive position that cannot be bought quickly.

## THE COMPLIANCE STACK · LESSON 5

# Data Rights and Intellectual Property: Who Owns What You Build

26 min

*The DFARS rules that decide whether the government can hand your designs to a competitor. Technical data vs. computer software, the five license categories, "developed at private expense," the assertions table, markings, and the government PM's sustainment strategy. The most valuable topic in this module and the one most often left to lawyers until it is too late.*

## The Question That Decides the Next Ten Years

A company develops a subsystem, wins the production contract, and delivers the drawings. Five years later the government competes the sustainment and hands those drawings to the lowest bidder. Or: the government tries to compete the sustainment, discovers it does not have the rights to the drawings, and is locked into the original contractor at whatever price it names. Both outcomes were decided years earlier by clauses most PMs never read and an assertions table someone filled out in a hurry. Data rights are where a contractor's intellectual property meets the government's need to maintain what it buys, and the rules are precise enough that a PM who understands them can protect the company's most valuable asset, or, on the government side, avoid a decade of sole-source dependence.

## Two Things to Keep Separate: Delivery and Rights

The government can require a contractor to deliver technical data and software (that is a CDRL question, covered in the Contracting module). Whether it gets the right to use, share, and reprocur with that data is a separate question, governed by the data rights clauses. A contractor can deliver every drawing and still restrict what the government may do with them. And the government can hold rights to data it never required delivery of, which is why deferred ordering and deferred delivery clauses exist. The two questions are asked separately and answered separately.

## The License Categories (Noncommercial)

| RIGHTS CATEGORY                 | FUNDING BASIS                                                                                                                                                         | WHAT THE GOVERNMENT MAY DO                                                                                                    | WHAT IT MAY NOT DO                                                                                   |
|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|
| Unlimited rights                | Developed exclusively at government expense, or certain categories regardless of funding (form/fit/function, OMIT data, corrections, data delivered without markings) | Anything: use, modify, release to anyone, including competitors for reprocurement                                             | Nothing is restricted                                                                                |
| Government purpose rights       | Mixed funding (part government, part private)                                                                                                                         | Use within the government and release to others for government purposes, including competitive reprocurement                  | Commercial use or release for commercial purposes. Converts to unlimited after five years by default |
| Limited rights (technical data) | Developed exclusively at private expense                                                                                                                              | Use within the government; emergency repair and overhaul; release to support contractors under NDA in limited cases           | Release for manufacture or reprocurement; disclosure outside the government without permission       |
| Restricted rights (software)    | Developed exclusively at private expense                                                                                                                              | Use on one computer at a time (per copy), make backups, modify for own use, share with support contractors under restrictions | Release for use by others; reverse engineer beyond the allowed modifications                         |
| Specifically negotiated license | Any                                                                                                                                                                   | Whatever the parties agree, no less than limited or restricted                                                                | Whatever the parties agree                                                                           |

### "Developed at Private Expense": The Test Everything Turns On

The rights category follows the money used to develop the item, component, or process. Developed exclusively at government expense means unlimited rights. Exclusively at private expense means limited or restricted. Mixed means government purpose rights. Two details make this workable and dangerous. First, "private expense" includes indirect costs like independent research and development that the government ultimately reimburses through overhead; IR&D-funded development is private expense. Second, the test is applied at the lowest practicable segregable level: a component developed privately can carry limited rights even inside a system developed with government money, if the contractor can show the funding for that component. That means a contractor's development accounting is its data rights evidence. If the company cannot show that a component was developed on IR&D rather than charged to a contract, it cannot assert limited rights in it.

### HOW COMPANIES HAND OVER THEIR CROWN JEWELS

The most valuable thing a company builds is often a component it developed on its own money and then delivered under a government contract. If the assertions table did not list it, the drawings went out without a restrictive marking, or the development cost was charged to the contract, the company just gave the government unlimited rights to its crown jewel. Nobody stole it. The company handed it over through paperwork it did not read.

## Assertions and Markings: How Rights Are Claimed

Before award, the contractor lists in its proposal every item of technical data or software it will deliver with less than unlimited rights: what it is, the basis (developed exclusively at private expense, or mixed), the rights category asserted, and who is asserting (the contractor or a sub). This is the assertions table under DFARS 252.227-7017. The government can challenge an assertion and require evidence. After award, every delivered item claimed with less than unlimited rights must carry the exact restrictive legend from the clause. Data delivered without a legend is treated as delivered with unlimited rights, and the contractor has a limited window to correct an inadvertent omission. Legends that do not match the clause's language are nonconforming and can be treated as no legend at all.

## Data the Government Always Gets Unlimited Rights To

Regardless of who paid for development, these categories carry unlimited rights. Knowing them prevents both over-claiming and surprise.

- **Form, fit, and function data** What the item is, its dimensions, its interfaces. Not how it works inside.
- **Operation, maintenance, installation, and training data (OMIT)** Manuals and procedures, except detailed manufacturing or process data.
- **Corrections or changes to government-furnished data** If the government gave you the data, your fixes carry its rights.
- **Data delivered without restrictive markings** The omission rule.
- **Data that has been publicly released without restriction** Once public, no longer restrictable.
- **Data the contractor has previously given the government unlimited rights in** Rights granted once are granted.

One sentence to teach your team: **the government's rights in what you deliver follow the money that developed it, you have to claim restrictions in the proposal and mark every delivery, and anything you cannot prove was developed on your own money goes out with unlimited rights.**

## INTERMEDIATE

## Commercial Items: A Different Clause, More Protection

Technical data for commercial products is governed by DFARS 252.227-7015 rather than 7013, and the default is more protective of the contractor: the government gets only the rights customarily provided to the public with the item, plus form, fit, function, and OMIT data with unlimited rights. Commercial computer software is acquired under the contractor's standard commercial license, subject to a few federal necessities. This is one of the practical benefits of commercial item status covered in the Foundations module. A company that can legitimately characterize its product as commercial protects its IP by default rather than by assertion. The government, for its part, has been pushing back on commercial claims for items with no real commercial market, precisely because of the data rights consequences.

## Government Purpose Rights and the Five-Year Clock

Mixed-funding development produces GPR, which lets the government use the data for government purposes, including giving it to a competitor for reprocurement, but not for commercial purposes. GPR converts to unlimited rights five years after the contract (or another negotiated period) unless the parties agree otherwise. For a contractor, that clock is the window in which to negotiate a longer GPR period, a specifically negotiated license, or a sustainment position that does not depend on data exclusivity. For a government PM, it is the date after which the data can be used without restriction for anything, and it should be on the program's calendar. Both sides routinely forget it.

## Data Rights Mistakes and What They Cost

| MISTAKE                                                       | WHO MAKES IT | CONSEQUENCE                                                                                  |
|---------------------------------------------------------------|--------------|----------------------------------------------------------------------------------------------|
| Charging IR&D-type development to a contract as a direct cost | Contractor   | The development is now at government expense; unlimited rights                               |
| Omitting an item from the assertions table                    | Contractor   | Late assertions are allowed only for new information; the omitted item is presumed unlimited |
| Delivering without the legend, or with a nonconforming legend | Contractor   | Treated as unlimited rights, subject to a short correction window                            |
| Accepting an assertion without evidence                       | Government   | Locked into limited rights on an item the government may have funded                         |
| Not ordering the data the program will need for sustainment   | Government   | Rights without delivery are useless when the contractor is gone                              |
| Not tracking the GPR five-year conversion                     | Both         | Contractor loses exclusivity unnoticed; government misses a reprocurement opportunity        |

## Subcontractor Data: The Prime Does Not Own It

A subcontractor's privately developed data keeps its rights through the prime. The prime must flow the data rights clauses down, must include the sub's assertions in its own assertions table, and cannot grant the government more rights in the sub's data than the sub has granted. Subs are entitled to deal directly with the government on their data rights and may deliver directly. A prime that promises the government unlimited rights in a system containing a sub's limited-rights component has promised something it does not own, and the government will discover that at sustainment.

### ADVANCED

## The Government PM's Data Rights Strategy

On the government side, data rights are a lifecycle decision made at acquisition planning. The program should decide what it will need to compete sustainment, spares, and upgrades (interface data at minimum, often more), whether to fund development so as to obtain unlimited or GPR rights, whether to buy a specifically negotiated license, and when to order delivery. The Modular Open Systems Approach is the current policy answer: build with published interfaces, obtain unlimited rights to the interface data, and compete components behind the interfaces even when the internals remain proprietary. A government PM who leaves data rights to the CO and the lawyers gets the default clause outcomes, which are often a sole-source sustainment tail. One who plans them gets competition.

## The Contractor's IP Strategy: Protecting the Crown Jewels

On the contractor side, the strategy is to know which items are the company's competitive advantage, develop them on IR&D with clean accounting, assert them correctly in every proposal, mark every delivery, and structure deliveries so the government gets what it needs to operate and maintain without getting the manufacturing and design detail. Where the government insists on more, the answer is a specifically negotiated license with a price, not a reflexive refusal that loses the award or a reflexive acceptance that gives away the asset. Senior leaders keep an IP inventory: every proprietary item, its development funding record, its assertion history, and every contract it has been delivered under. That inventory is also what an acquirer's diligence team asks for, because a company whose IP is actually unlimited-rights government data is worth less than one whose IP is protected.

## Data Rights Through a Program's Life

The decision points, for both sides.

### Acquisition planning (government) PLAN

Decide what rights sustainment will need and how to get them: funding, licenses, MOSA interfaces.

The cheapest time to buy rights is before the contractor has built the thing.

**Proposal (contractor)** **ASSERT**

Complete the assertions table for every restricted item, with the funding basis and the sub's assertions included.  
Get the IP inventory and the development accounting in front of whoever fills this out.

**Award (both)** **NEGOTIATE**

The government may challenge assertions; the parties may negotiate specific licenses.  
A challenge requires the contractor to produce evidence within a set period. The evidence is the development cost records.

**Delivery (contractor)** **MARK**

Every restricted item carries the exact legend from the clause.  
Templates and a delivery checklist. Missing legends are the most common way rights are lost.

**Sustainment (both)** **USE**

The government uses what it has the rights to; the five-year GPR clock runs; reprocurement competitions test the data package.  
A government PM who ordered the data and secured the rights competes sustainment. One who did not negotiates with an incumbent who knows it.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

Contractors: they keep an IP inventory with development funding records, assert precisely, mark every delivery, and price a license rather than refusing or giving away. Government PMs: they decide at planning what sustainment will need, fund or license accordingly, order the data, obtain unlimited rights to interfaces, and calendar the GPR conversion date. Both: they read the 7013, 7014, and 7017 clauses before the assertions table is due, not after the dispute.

**BUILD ON THIS**

- **CDRLs & DIDs** Delivery of data is a separate question from rights in it
- **OTAs & Streamlined Acquisition** Commercial item status and its data rights consequences
- **How GovCon Companies Are Valued** Why protected IP raises the price

## Key Terms

### Technical Data

Recorded information of a scientific or technical nature: drawings, specifications, manuals, test data. Governed by DFARS 252.227-7013 for noncommercial items.

### Computer Software

Source code, executable code, design details, algorithms, and related documentation. Governed by DFARS 252.227-7014 for noncommercial software.

### Unlimited Rights

The government may use, disclose, and reproduce the data for any purpose and let anyone else do the same, including competitors. Applies to data developed exclusively at government expense and to certain categories regardless of funding.

### Government Purpose Rights (GPR)

The government may use the data for government purposes, including competitive procurement, but not for commercial purposes. Applies to mixed-funding development; converts to unlimited rights after five years unless negotiated otherwise.

### Limited Rights (data) / Restricted Rights (software)

The government may use the data within the government but generally may not disclose it outside without permission. Applies to items developed exclusively at private expense.

### Specifically Negotiated License Rights

Any custom arrangement the parties negotiate, which must give the government at least limited or restricted rights.

### Developed Exclusively at Private Expense

Developed without any direct government funding, and without being charged as a direct cost to a government contract. Indirect costs (IR&D) count as private expense. The test that decides whether the contractor keeps control.

### Assertions Table

The list, submitted with a proposal under DFARS 252.227-7017, identifying the technical data and software the contractor will deliver with less than unlimited rights, the basis for the assertion, and the rights category claimed.

### Form, Fit, and Function Data

Data sufficient to identify an item and its physical and functional interfaces, without revealing how it works inside. The government always gets unlimited rights to it, regardless of funding.

### Modular Open Systems Approach (MOSA)

DoD's policy of building systems with open, published interfaces so components can be competed and replaced. Interface data is where MOSA and data rights meet.

## Knowledge Check

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Which DFARS clause governs rights in noncommercial technical data?

✓ A. 252.227-7013

B. 252.227-7014

C. 252.227-7015

D. 252.204-7012

### WHY

7013 covers noncommercial technical data; 7014 covers noncommercial software; 7015 covers commercial technical data.

A component was developed entirely on the contractor's IR&D. What rights does the government get in its technical data when delivered under a contract?

A. Unlimited rights

B. Government purpose rights

✓ C. Limited rights (if properly asserted and marked)

D. No rights

### WHY

IR&D counts as private expense. Exclusively private development yields limited rights, provided the contractor asserted and marked correctly.

What happens to government purpose rights five years after the contract, by default?

A. They expire

✓ B. They convert to unlimited rights

C. They convert to limited rights

D. They must be renegotiated

### WHY

GPR converts to unlimited rights after five years unless the parties negotiate otherwise.

**Technical data is delivered without a restrictive legend. How is it treated?**

A. As limited rights

✓ B. As delivered with unlimited rights, subject to a short window to correct an inadvertent omission

C. As classified

D. As commercial

**WHY**

The omission rule. Missing or nonconforming legends are the most common way rights are lost.

**Which category of data does the government always receive unlimited rights to, regardless of funding?**

A. Detailed manufacturing data

B. Source code

✓ C. Form, fit, and function data

D. Algorithms

**WHY**

Form, fit, function, and OMIT data carry unlimited rights regardless of who funded development.

**What is the assertions table?**

A. A list of subcontractors

✓ B. The proposal submission identifying data and software to be delivered with less than unlimited rights, the basis, and the category claimed

C. The CDRL

D. The DD 254

**WHY**

Under DFARS 252.227-7017, restrictions must be asserted before award. Omitted items are presumed unlimited.

**A contractor charges development of a proprietary component as a direct cost to a government contract. What is the data rights consequence?**

A. Limited rights are preserved

**✓ B. The development is at government expense, producing unlimited rights**

C. GPR applies

D. No effect

#### WHY

Direct charging to a contract makes the development government-funded. Development accounting is data rights evidence.

**Can a prime grant the government unlimited rights in a subcontractor's privately developed component?**

A. Yes, the prime owns everything delivered

**✓ B. No; the sub's rights survive through the prime, and the prime cannot grant more than the sub has granted**

C. Only with DCAA approval

D. Only for software

#### WHY

Subs' data rights flow through. Their assertions must appear in the prime's table.

**What is the data rights significance of the Modular Open Systems Approach?**

A. It eliminates data rights

**✓ B. The government obtains unlimited rights to published interface data so components can be competed even when internals remain proprietary**

C. It requires source code delivery

D. It applies only to software

#### WHY

MOSA competes at the interfaces. Interface data rights are the enabling condition.

**Match the funding basis to the rights category:****CORRECT MATCHES**

|                                              |                           |
|----------------------------------------------|---------------------------|
| Exclusively government expense               | Unlimited rights          |
| Mixed funding                                | Government purpose rights |
| Exclusively private expense (technical data) | Limited rights            |
| Exclusively private expense (software)       | Restricted rights         |

**WHY**

Government expense yields unlimited; mixed yields GPR; private yields limited (data) or restricted (software).

**Order the contractor's data rights actions through a program:****CORRECT ORDER**

1. Maintain an IP inventory with development funding records
2. Complete the assertions table in the proposal
3. Respond to any government challenge with development cost evidence
4. Mark every restricted delivery with the exact legend
5. Track the GPR five-year conversion date

**WHY**

Keep the IP inventory, assert in the proposal, respond to challenges with funding evidence, mark deliveries, and track the GPR clock.

**A government PM leaves data rights to the default clauses and does not order interface data. What is the likely sustainment outcome?**

- A. Full competition
- ✓ **B. A sole-source sustainment tail with the original contractor**

- C. Automatic unlimited rights
- D. Lower cost

**WHY**

Without planned rights and delivered data, the government cannot compete sustainment and negotiates from weakness.

## THE COMPLIANCE STACK · LESSON 6

# TINA and Certified Cost or Pricing Data: When You Have to Show Your Numbers

24 min

*The Truthful Cost or Pricing Data statute, still called TINA by everyone. When it applies, the exceptions that let most awards avoid it, what "data" means (facts, not judgment), the certificate, the sweep, how defective pricing is found years later, and how the prime's obligation reaches down to its subcontractors.*

## The Rule That Makes Negotiation Honest

In a competitive award the market sets the price and the government does not need to see how the contractor built it. In a sole-source negotiation there is no market, and the government is negotiating against a company that knows its own costs far better than the government does. TINA closes that gap by requiring the contractor to hand over the facts behind its price and certify that they are accurate, complete, and current. If the facts turn out to have been wrong, and the price was higher because of it, the government gets the difference back. This lesson covers when the rule applies, what has to be disclosed, and how contractors get into trouble with it years after the negotiation ended.

## When Certified Data Is Required

Certified cost or pricing data is required for negotiated prime contracts, subcontracts, and modifications expected to exceed the threshold (in the low millions, adjusted periodically; verify the current figure), unless an exception applies. The exceptions are the whole game for most contractors. No certified data is required when the price is based on adequate price competition (generally two or more responsible offerors competing independently), when prices are set by law or regulation, when the acquisition is for a commercial product or service, or when the head of the contracting activity waives the requirement. Most competitive awards fall under the first exception. Sole-source awards, undefinitized contract actions, and large modifications on existing contracts are where TINA bites.

## Does TINA Apply?

| SITUATION                                                   | CERTIFIED DATA REQUIRED? | WHY                                                                                          |
|-------------------------------------------------------------|--------------------------|----------------------------------------------------------------------------------------------|
| Competitive award with three offerors, \$20M                | No                       | Adequate price competition exception                                                         |
| Sole-source follow-on, \$15M                                | Yes                      | Negotiated, above threshold, no exception                                                    |
| Commercial product, sole source, \$8M                       | No                       | Commercial exception (but "other than certified" data may be requested)                      |
| Modification adding \$3M of scope to a competitive contract | Yes                      | Modifications are evaluated on their own value; the original competition does not carry over |
| Subcontract of \$5M under a sole-source prime               | Yes                      | The prime must obtain certified data from the sub                                            |
| Undefinitized contract action being definitized at \$30M    | Yes                      | Definitization is a negotiation                                                              |

## What "Data" Means: Facts, Not Judgment

Cost or pricing data is factual. Vendor quotes you received. Labor rates you are paying. Actual costs on similar work. Your make-or-buy decisions. Management decisions that affect cost, like a planned facility move or a negotiated union agreement. Learning curve data. Inventory you already hold. Anything a prudent buyer would want to know when deciding whether the price is fair. Judgment is not data. Your estimate of how many hours the work will take is a judgment; the historical hours on the last three similar jobs are data. Your assessment of risk is judgment; the fact that a supplier has missed its last four deliveries is data. The contractor must disclose the facts and may use its own judgment freely. Defective pricing cases are about undisclosed facts, not about estimates that turned out to be high.

### DEFECTIVE PRICING IS ALMOST NEVER A LIE

Defective pricing is almost never a lie. It is a quote that came in lower the week before certification and did not make it into the proposal. It is the labor rate that was updated in the accounting system but not in the pricing model. It is the sub's revised cost estimate sitting in someone's inbox. The government audits years later, compares what you knew to what you showed, and bills you for the difference plus interest. The sweep exists to catch these, and companies that skip it pay for it.

## The Certificate and the Sweep

When the parties agree on price, the contractor signs a Certificate of Current Cost or Pricing Data stating that the data submitted was accurate, complete, and current as of the date of agreement (or an earlier agreed

cutoff). The certificate is signed by a person authorized to bind the company, and it is what makes defective pricing actionable. The sweep is the contractor's protection: a final, documented review of every cost element immediately before certification, checking for new quotes, changed rates, revised subcontractor data, and updated estimates, and disclosing anything found. A good sweep is a checklist run by people who know where the data lives, with a record of what was checked. A bad sweep is an email asking "anything new?"

## What a Sweep Checks

- **Material and subcontract quotes** Any quote received or revised since the proposal, including informal ones. Lower quotes not disclosed are the classic defective pricing finding.
- **Labor rates and escalation** Current actual rates, recent union agreements, merit increase decisions, changes to the labor mix.
- **Indirect rates** Any updated forward pricing rate proposal, revised provisional rates, or changes in the rate build.
- **Historical cost data** Recent actuals on similar work that were not in the original submission.
- **Make-or-buy and staffing decisions** Decisions to subcontract instead of self-perform, or to use a cheaper facility.
- **Subcontractor certifications** Updated certified data from subs above the threshold.

One sentence to teach your team: **on a sole-source negotiation above the threshold, you have to disclose every fact that would affect the price and certify it is current on the day you agree, and a lower quote you had and did not show is money the government gets back with interest.**

### INTERMEDIATE

## Defective Pricing: How It Is Found and What It Costs

DCAA conducts post-award audits on certified contracts, often two to four years later, comparing the data the contractor possessed at certification against what it submitted. When it finds undisclosed data that would have reduced the price, the government is entitled to a price reduction equal to the overstatement plus the profit or fee on it, with interest from the date of overpayment. If the government shows the defective pricing was knowing, penalties equal to the overpayment are added. The contractor's defenses are narrow: that the government knew the data anyway, that the data did not affect the price, or that the government did not rely on it. "We did not think it was significant" is not a defense; significance is judged by whether a prudent buyer would have wanted to know.

## Subcontractor Data: The Prime's Liability

A prime negotiating a certified contract must obtain certified cost or pricing data from any subcontractor whose subcontract will exceed the threshold (absent an exception for that subcontract), analyze it, and include it in the prime's submission. The prime is then liable for defective pricing in the sub's data as if it were the prime's own. This puts primes in the position of auditing their subs, which is why prime subcontract terms include audit rights, certification requirements, and indemnification for defective pricing. For a sub, a certified subcontract carries the same obligations as a certified prime contract: disclose all the facts, sweep, certify, and keep the records for the audit.

## Data vs. Judgment: Examples

| ITEM           | DATA (MUST DISCLOSE)                                      | JUDGMENT (CONTRACTOR'S CALL)                                       |
|----------------|-----------------------------------------------------------|--------------------------------------------------------------------|
| Labor hours    | Actual hours on the last three similar tasks              | The estimate of hours for this task                                |
| Material cost  | The three quotes received, including the lowest           | Which vendor to propose                                            |
| Labor rates    | Current actual rates by category; planned merit increases | Escalation assumption for out-years (but the basis facts are data) |
| Subcontract    | The sub's certified proposal and any revisions            | The prime's assessment of the sub's risk                           |
| Indirect rates | The forward pricing rate proposal and current actuals     | The rate used in pricing (should be consistent with the data)      |
| Learning       | Historical unit cost trends                               | The learning curve slope applied                                   |

## "Other Than Certified" Data and the Commercial Exception

When certified data is not required, the CO may still request "data other than certified cost or pricing data" to determine that the price is fair and reasonable: prior prices, catalog prices, sales history, cost information without certification. There is no certificate and no defective pricing remedy, but the data must still be accurate, because misrepresentation is a false statement regardless of certification. The commercial exception has been the subject of regulatory tightening: COs are expected to verify that the item actually has a commercial market and to obtain sufficient data to evaluate the price, and contractors that claim commercial status for items with no commercial sales should expect the claim to be challenged.

## ADVANCED

## Structuring Around TINA: Legitimate and Not

The threshold and exceptions create incentives. Splitting a requirement into pieces to stay under the threshold is prohibited and audited for. Pursuing genuine competition, so the exception applies, is legitimate and is what the government prefers anyway. Characterizing an item as commercial when it has a real commercial market is legitimate; doing so when it does not is a misrepresentation. Negotiating a specifically agreed cutoff date for the data, earlier than price agreement, is legitimate and reduces sweep risk when negotiations drag on. Senior pricing leads know which of these are tools and which are findings.

## Building the TINA Record

The defense against a defective pricing finding is the record: what data the company had, when, and what it disclosed. Companies that handle TINA well keep a proposal file for every certified action containing the submission, the sweep checklist and its results, every disclosure made during negotiation (with dates), the certificate, and the negotiation memorandum. When DCAA arrives three years later asking about a quote, the file shows whether it was disclosed. Without the file, the company is reconstructing from email, and the auditor's version of events tends to prevail. The record is also what makes a disagreement about significance or reliance winnable.

## A Certified Negotiation, Step by Step

What happens on the contractor side of a sole-source action above the threshold.

### Proposal: Disclose everything SUBMIT

Cost data by element, with the factual basis; subcontractor certified data included; the proposal adequacy checklist completed.

DFARS requires a proposal adequacy checklist for certified proposals. Use it as the disclosure map.

### Fact-finding: Answer the questions AUDIT

DCAA or the CO's analysts review the data and ask for more. Every answer is a disclosure; record it.

Data provided during fact-finding counts as disclosed. Data withheld during fact-finding is the finding.

### Negotiation: Update as facts change NEGOTIATE

New quotes and rate changes during negotiation must be disclosed as they occur.

Consider negotiating a data cutoff date to bound the sweep period.

### Sweep: Final check SWEEP

Immediately before certification, run the checklist and disclose anything found.

Document the sweep. It is the evidence of good faith.

**Certify and file** CERTIFY

Sign the certificate as of the agreed date; assemble the proposal file for the audit that will come.

The file is retained for the audit period, which is years.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They know which of their actions are certified and which fall under an exception, and why. They treat the sweep as a controlled process with a checklist and a record. They obtain and evaluate sub data and get indemnification for it. They negotiate cutoff dates on long negotiations. And they keep the proposal file for every certified action, because the audit is not a possibility; it is a scheduled event.

**BUILD ON THIS**

- **Cost Estimating** How proposals are built
- **DCAA & DCMA Oversight** The auditors who find defective pricing
- **Modifications, REAs & Claims** Why modifications are where TINA often applies

## Key Terms

### TINA

The Truth in Negotiations Act, now the Truthful Cost or Pricing Data statute (10 U.S.C. 3701 and following). Requires contractors to submit, and certify, cost or pricing data in negotiated procurements above a threshold unless an exception applies.

### Cost or Pricing Data

All facts that prudent buyers and sellers would reasonably expect to affect price negotiations significantly. Facts, not judgments: vendor quotes, labor rates, historical costs, make-or-buy decisions, learning curves. Judgment about how to use the facts is not data.

### TINA Threshold

The dollar level above which certified data is required for negotiated contracts, modifications, and subcontracts. Set at \$2 million (for contracts awarded after mid-2018) and adjusted for inflation; verify the current figure.

### Exceptions

Certified data is not required when the price is based on adequate price competition, set by law or regulation, for a commercial product or service, or when a waiver is granted.

### Certificate of Current Cost or Pricing Data

The signed statement that, to the best of the contractor's knowledge, the data submitted was accurate, complete, and current as of the date of agreement on price (or another agreed date).

### Defective Pricing

Certified data that was inaccurate, incomplete, or not current as of the certification date, and that caused the price to be higher than it would have been. Entitles the government to a price reduction plus interest, and penalties if knowing.

### Sweep

The contractor's final review of all cost data, immediately before certifying, to catch anything that changed since the proposal was submitted: new quotes, updated rates, revised estimates.

### Data Other Than Certified Cost or Pricing Data

Information the CO may request to determine price reasonableness when certified data is not required. No certificate, no defective pricing remedy, but still must be accurate.

### Subcontractor Data

A prime must obtain certified data from subcontractors above the threshold (absent exceptions), must evaluate it, and is liable for defective subcontractor data included in its own price.

### Post-Award Audit

DCAA's review, often years after award, comparing the data the contractor had at certification to what it submitted. The mechanism by which defective pricing is found.

## Knowledge Check

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Which of these is an exception to the requirement for certified cost or pricing data?

- A. The contractor is a small business
- ✓ B. The price is based on adequate price competition
- C. The contract is cost-type
- D. The contractor has an approved accounting system

### WHY

Adequate price competition, prices set by law, commercial products or services, and waivers are the exceptions.

Which of the following is "cost or pricing data" that must be disclosed?

- A. The contractor's estimate of labor hours
- ✓ B. A vendor quote received last week that is lower than the one in the proposal
- C. The contractor's assessment of schedule risk
- D. The learning curve slope chosen

### WHY

Data is facts. A lower quote is a fact a prudent buyer would want; the estimate and the risk assessment are judgment.

What does the Certificate of Current Cost or Pricing Data state?

- A. That the price is the lowest available
- ✓ B. That the data submitted was accurate, complete, and current as of the date of price agreement (or an agreed cutoff)
- C. That the contractor will not exceed the price
- D. That DCAA has audited the proposal

### WHY

The certificate is the basis for the defective pricing remedy.

**A \$3M modification is added to a contract that was originally awarded competitively. Is certified data required?**

A. No; the original competition covers it

**✓ B. Yes; modifications above the threshold are evaluated on their own and the competition does not carry over**

C. Only if the contractor is large

D. Only for cost-type contracts

#### WHY

Each modification is its own negotiated action for TINA purposes.

**What is the government's remedy for defective pricing?**

A. Contract termination

**✓ B. A price reduction equal to the overstatement plus associated profit, with interest, and penalties if knowing**

C. Debarment

D. A written warning

#### WHY

The remedy restores the price to what it would have been with accurate data, with interest from overpayment.

**What is a "sweep"?**

A. A DCAA audit

**✓ B. The contractor's final review of all cost data immediately before certification to catch and disclose changes**

C. A price reduction

D. A competitive range determination

#### WHY

The sweep catches new quotes, rate changes, and revised estimates. Documenting it is evidence of good faith.

**A prime includes a subcontractor's certified data in its proposal. The sub's data turns out to be defective. Who is liable to the government?**

A. Only the subcontractor

✓ **B. The prime, as if the data were its own**

C. Neither; sub data is exempt

D. DCAA

#### WHY

Primes are liable for defective subcontractor data, which is why they require audit rights and indemnification from subs.

**Which defense against a defective pricing claim is NOT valid?**

A. The government already knew the data

B. The data did not affect the price

✓ **C. "We did not think it was significant"**

D. The government did not rely on the data

#### WHY

Significance is judged by whether a prudent buyer would have wanted the data, not by the contractor's opinion.

**Splitting a \$4M sole-source requirement into three actions under the threshold to avoid certification is:**

A. A legitimate structuring technique

✓ **B. Prohibited and audited for**

C. Allowed for small businesses

D. Required by the FAR

#### WHY

Splitting to avoid TINA is prohibited. Pursuing genuine competition or legitimate commercial status is not.

**Match the item to data or judgment:****CORRECT MATCHES**

|                                             |          |
|---------------------------------------------|----------|
| Actual hours on the last three similar jobs | Data     |
| The estimate of hours for this job          | Judgment |
| All three vendor quotes received            | Data     |
| The assessment of supplier risk             | Judgment |

**WHY**

Historical hours, quotes, and current rates are facts; estimates and risk assessments are judgment.

**Order a certified negotiation from the contractor's side:****CORRECT ORDER**

1. Submit the proposal with all cost or pricing data
2. Respond to fact-finding and record every disclosure
3. Disclose new facts as negotiation proceeds
4. Run and document the sweep
5. Sign the certificate and assemble the proposal file

**WHY**

Submit with full disclosure, answer fact-finding, update during negotiation, sweep, then certify and file.

**When certified data is not required, may the CO still request cost information?**

A. No

✓ **B. Yes, as "data other than certified cost or pricing data," which must still be accurate though it carries no certificate**

C. Only from small businesses

D. Only after award

**WHY**

Uncertified data supports price reasonableness. Misrepresenting it is still a false statement.

## THE COMPLIANCE STACK · LESSON 7

# Domestic Preference: Buy American, Berry, and Specialty Metals

23 min

*The rules that decide where the things in a defense product may come from. The Buy American Act and its rising domestic content threshold, the DoD qualifying-country system, the Berry Amendment for textiles and food, the specialty metals restriction, nonavailability determinations, and how a PM keeps a supply chain compliant without rebuilding it.*

## Where It Came From Is a Compliance Question

A contractor delivering a piece of equipment to DoD has to be able to answer, for the end product and for the materials in it, where it was made and where its parts came from. Not because of tariffs or politics, but because a set of statutes require the government to prefer or require domestic sources, and the contractor's certification that it complied is a statement the government can test. This lesson explains the three main regimes, in order of strictness: the Buy American Act (a preference), the specialty metals restriction (a requirement for certain materials), and the Berry Amendment (a requirement for certain products). Then the exceptions, because the exceptions are how most programs actually work.

## Three Regimes, Three Levels of Strictness

| REGIME                       | APPLIES TO                                                                                        | WHAT IT REQUIRES                                                                                              | HOW IT IS ENFORCED                                                           | MAIN EXCEPTIONS                                                                                                                          |
|------------------------------|---------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| Buy American Act             | All federal purchases of supplies (and construction materials) above the micro-purchase threshold | A preference for domestic end products: U.S.-manufactured with domestic component content above the threshold | Price evaluation penalty on foreign offers (50% for DoD); certification      | Qualifying countries (DoD), trade agreements (civilian), nonavailability, unreasonable cost, COTS component test waiver, public interest |
| Specialty metals restriction | DoD acquisitions of aircraft, missiles, ships, tanks, weapons, ammunition, and their components   | Specialty metals melted or produced in the U.S. or a qualifying country                                       | Requirement; noncompliant items may not be delivered; flow-down to all tiers | Qualifying countries, COTS (with limits), de minimis (2% of total specialty metal weight), nonavailability, electronic components        |
| Berry Amendment              | DoD purchases of food, clothing, textiles, tents, hand tools, and certain other items             | Entirely grown, produced, or manufactured in the U.S., including components                                   | Requirement; certification; flow-down                                        | Purchases under the simplified threshold, nonavailability, certain items for use outside the U.S., emergencies                           |

## The Buy American Act: A Preference, Not a Ban

The BAA does not prohibit buying foreign products. It requires the government to prefer domestic ones, and the preference is applied through price: a foreign end product is evaluated as if its price were higher (by 50% on DoD acquisitions, less for civilian agencies) when compared to a domestic offer. If the foreign product still wins after the penalty, it can be bought. A domestic end product is one manufactured in the United States with domestic components above the threshold. Under the rule that took effect in 2022, that threshold rose from 55% toward 75% in steps, with a schedule that reaches 75% for later award years; verify the threshold for the year of award, because the same product can be domestic one year and not the next. Iron and steel products have a separate, stricter test.

## Qualifying Countries: How DoD Buys From Allies

DoD maintains reciprocal defense procurement agreements with about two dozen allied countries. End products from those qualifying countries are evaluated on DoD acquisitions without the BAA price penalty, as if they were domestic. This is why a European-made component can appear in a U.S. weapon system without a BAA problem: if the country is qualifying, the preference does not apply. The list is in DFARS 225.872 and changes occasionally. A supplier in a qualifying country is a very different compliance situation from a supplier in a non-qualifying one, and PMs should know which their suppliers are in.

## Specialty Metals: The Rule That Reaches Into the Alloy

For aircraft, missiles, ships, tanks, weapons, and ammunition, the specialty metals in the item (specified steel alloys, titanium, nickel and cobalt alloys, zirconium) must have been melted or produced in the United States or a qualifying country. This applies to the end item and to components at every tier, so a fastener in a subassembly in a system is covered. The exceptions are specific: qualifying countries, most COTS items (with carve-outs for certain high-performance items and for items where the specialty metal is the main content), a de minimis allowance of 2% of the total weight of specialty metals in the item, electronic components, and nonavailability determinations. Compliance is proven through supplier certifications tracing the metal to its melt source, and it is one of the most common findings in defense supply chain audits because the documentation trail is long and easy to break.

### DOMESTIC PREFERENCE FAILS AT THE THIRD TIER

The failure mode is not a company choosing a cheap foreign source on purpose. It is a third-tier supplier who changed mills, a distributor who cannot say where the bar stock was melted, or a COTS assumption that turned out not to apply because the item was modified. The prime certifies compliance for the whole product and finds out about the problem when a DCMA quality assurance representative asks for the mill certifications. Supply chain compliance is documentation, tier by tier, before delivery.

## The Exceptions That Programs Actually Use

- **Qualifying country** The most common. If the source is in a qualifying country, the BAA penalty and specialty metals restriction generally do not apply. Check the list.
- **Nonavailability** A determination that a compliant source is not available in sufficient quantity or quality. Some class determinations exist (a list of articles the government has already found nonavailable); individual determinations require justification and approval at a level that rises with dollar value.
- **COTS** COTS items are exempt from the BAA component test and from the specialty metals restriction with limits. But a COTS item modified for the government is no longer COTS.
- **De minimis (specialty metals)** Noncompliant specialty metals up to 2% of the total specialty metal weight in the item.
- **Unreasonable cost (BAA)** If the domestic offer is unreasonably priced even after the penalty, the foreign product can be bought.
- **Use outside the United States** Some Berry and BAA requirements do not apply to items acquired for use abroad, with conditions.

One sentence to teach your team: **the Buy American Act is a price preference with a rising domestic content threshold, specialty metals and Berry are requirements with narrow exceptions, and a prime's certification of compliance is only as good as the supplier documentation behind it.**

### INTERMEDIATE

## Certification and the Supply Chain Data Behind It

Offerors certify in their proposals (through provisions in FAR 52.225 and DFARS 252.225) which end products are domestic, which are from qualifying countries, and which are foreign. That certification drives the price evaluation and becomes a contract representation. Supporting it requires knowing, for each end product, the country of manufacture and the cost and origin of components; for specialty metals, the melt source at every tier; for Berry items, the origin of every input. Companies handle this with supplier certifications collected at purchase order, flow-down clauses in every subcontract, and a compliance record per product. A supplier that will not certify is a supplier that cannot be used on covered work.

## What Flows Down

| CLAUSE                                                                                                | FLOW-DOWN                                                                               | WHAT THE SUB MUST DO                                                                  |
|-------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| Buy American (FAR 52.225-1 and DFARS 252.225-7001)                                                    | Not a mandatory flow-down as such, but the prime needs component origin data to certify | Provide country of origin and component cost data for the prime's certification       |
| Specialty metals (DFARS 252.225-7009)                                                                 | Mandatory flow-down to all tiers for covered items                                      | Ensure specialty metals are compliant; provide melt certifications; flow down further |
| Berry (DFARS 252.225-7012)                                                                            | Mandatory flow-down for covered items                                                   | Ensure all inputs are domestic; certify; flow down                                    |
| Restrictions on certain foreign purchases (OFAC, sanctioned countries)                                | Mandatory                                                                               | No purchases from sanctioned sources at any tier                                      |
| Restrictions on specific items (e.g., certain foreign telecommunications equipment under Section 889) | Mandatory                                                                               | Certify no covered equipment or services in the supply chain                          |

## Section 889 and Covered Telecommunications

A related supply chain restriction, not about domestic preference but often handled by the same people: Section 889 of the FY2019 NDAA prohibits the government from buying covered telecommunications equipment or services from certain named Chinese companies, and prohibits contracting with any entity that uses such equipment as a substantial or essential component of any system. Every offeror represents whether it provides or uses covered equipment, and the representation covers the company's own systems, not just what it sells. Companies that have not inventoried their networks and video surveillance equipment against the covered list have a representation risk on every proposal.

## Nonavailability: How to Get an Exception

When a compliant source truly does not exist, the path is a nonavailability determination. For the BAA, a list of articles already determined nonavailable exists in the FAR, and individual determinations can be made by the CO or higher based on market research showing no domestic source. For specialty metals and Berry, DoD-level determinations are required and the approval authority is senior. The determination has to be in place before award or before the noncompliant material is used; discovering the problem at delivery and asking for a retroactive determination is possible but uncertain and slow. PMs on hardware programs identify the materials and components at risk during design, not at delivery.

## ADVANCED

## The Rising Threshold and Design Decisions

Because the BAA domestic content threshold rises over time, a product that qualifies as domestic at 60% content in one award year may not at 65% or 75% in a later one. For multi-year programs and for products sold repeatedly, this means domestic content is a design and sourcing parameter to be managed, not a one-time certification. Companies track domestic content by product at the bill of materials level, model the effect of supplier changes, and plan sourcing moves ahead of threshold steps. The rule also introduced a higher price preference for critical items and critical components, which further rewards domestic sourcing of those specific parts. Senior supply chain and program leaders treat the threshold schedule as a roadmap.

## Enforcement: How Domestic Preference Violations Surface

Violations surface through DCMA quality reviews that ask for mill certifications, through False Claims Act suits by competitors or employees who know a product was foreign-made, and through customs and audit data mining. Settlements have involved companies that certified domestic manufacture for products assembled abroad, that used noncompliant specialty metals with no de minimis or exception coverage, and that relabeled foreign-origin goods. The damages theory is the same as other certification cases: the government paid for a compliant product and received a noncompliant one. The defense is the record: supplier certifications, origin data, and exception determinations, collected before delivery.

## A Domestic Preference Program for a Hardware Contractor

The components that hold up under audit.

### Product-level origin and content records DATA

For each end product: country of manufacture, component cost and origin, domestic content percentage, and the award-year threshold it was certified against.

Maintained at the bill of materials level and updated when suppliers change.

### Supplier certifications at purchase order SUPPLIERS

Country of origin, specialty metals melt source, Berry compliance, and Section 889 status, certified by the supplier for each covered part.

No certification, no purchase order for covered work.

### Flow-down in every subcontract CLAUSES

The mandatory clauses, flowed to every tier, with audit rights.

Verified by the contracts function, not assumed.

**Exception tracking** EXCEPTIONS

Every nonavailability determination, qualifying-country reliance, COTS determination, and de minimis calculation, documented and tied to the product.

An exception you cannot produce on request is an exception you do not have.

**Design-phase review** ENGINEERING

Materials and sourcing reviewed for compliance during design, before the supply chain is locked.

Changing a titanium source after production starts is expensive. Choosing a compliant one during design is not.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They know the domestic content of every product they sell and the threshold it was certified against. They collect supplier certifications before purchase, not before audit. They know which suppliers are in qualifying countries and which are not. They get nonavailability determinations before using noncompliant material. And they review sourcing for compliance during design, where it is cheap, instead of at delivery, where it is not.

**BUILD ON THIS**

- **Subcontractor Management** Flow-down clauses and supplier oversight
- **OTAs & Streamlined Acquisition** The commercial item test that the COTS exception depends on
- **Building a Compliance Program on a Small Team** Where supply chain compliance fits in the calendar

## Key Terms

### Buy American Act (BAA)

The 1933 statute establishing a preference for domestic end products in federal purchases. Implemented in FAR Part 25 and DFARS Part 225. A preference enforced through price evaluation, not an outright ban.

### Domestic End Product

An end product manufactured in the United States whose domestic component content exceeds the applicable threshold. The threshold has been rising under recent rules toward 75%; verify the current figure for the award year.

### Component Test

The share of an end product's component cost that must be domestic for the product to count as domestic. Rising in steps under the 2022 rule; different rules for iron and steel products.

### Qualifying Country

A country with a reciprocal defense procurement agreement with DoD. End products from qualifying countries are evaluated without the BAA price penalty on DoD acquisitions.

### Trade Agreements Act (TAA)

For acquisitions above a threshold, allows products from designated countries (WTO Government Procurement Agreement members, free trade agreement partners) to compete on equal terms, and generally bars products from non-designated countries. Applies to civilian agencies more than DoD, which relies on qualifying countries.

### Berry Amendment

A DoD-specific statute (10 U.S.C. 4862) requiring that certain items, including food, clothing, textiles, and hand tools, be entirely grown, produced, or manufactured in the United States. Stricter than the BAA: no component threshold, no price preference, a requirement.

### Specialty Metals Restriction

10 U.S.C. 4863 (formerly part of Berry): specialty metals (certain steel, titanium, nickel, and cobalt alloys) in aircraft, missiles, ships, tanks, weapons, and ammunition must be melted or produced in the United States or a qualifying country.

### Nonavailability Determination

A finding that a compliant domestic (or qualifying-country) source is not available in sufficient quantity or quality. The main route to an exception under the BAA and Berry.

### Commercially Available Off-the-Shelf (COTS)

A commercial item sold in substantial quantities in the commercial marketplace without modification. COTS items are exempt from the component test under the BAA (though still must be manufactured in the U.S. to be domestic) and from some Berry requirements.

### Certification

The offeror's representation in its proposal about which end products are domestic. False certifications are false statements; the supply chain data behind them is the evidence.

## Knowledge Check

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How is the Buy American Act preference enforced on DoD acquisitions?

- A. Foreign products are prohibited
- ✓ B. A foreign end product is evaluated as if its price were 50% higher than offered
- C. Foreign products are limited to 10% of the contract
- D. Through tariffs

### WHY

The BAA is a price preference. A foreign offer can still win if it beats the domestic offer after the penalty.

What is a "qualifying country" for DoD purposes?

- A. Any NATO member
- ✓ B. A country with a reciprocal defense procurement agreement with DoD, whose end products are evaluated without the BAA penalty
- C. A country on the sanctions list
- D. Any WTO member

### WHY

Qualifying countries are listed in DFARS 225.872. Their products are treated like domestic ones on DoD acquisitions.

Which regime is the strictest, requiring covered items to be entirely grown, produced, or manufactured in the U.S.?

- A. Buy American Act
- B. Trade Agreements Act
- ✓ C. Berry Amendment
- D. Section 889

### WHY

Berry is a requirement with no component threshold, covering food, clothing, textiles, hand tools, and similar items.

**The specialty metals restriction requires that specialty metals in covered items be:**

A. Purchased from a U.S. distributor

✓ **B. Melted or produced in the U.S. or a qualifying country, at every tier**

C. At least 50% domestic by cost

D. Certified by DCAA

**WHY**

The restriction reaches every tier and is proven through melt-source certifications.

**What is the de minimis exception under the specialty metals restriction?**

A. Items under \$10,000

✓ **B. Noncompliant specialty metals up to 2% of the total specialty metal weight in the item**

C. Any COTS item

D. Items for use overseas

**WHY**

The 2% de minimis allows trace noncompliant content without a determination.

**Why does the BAA domestic content threshold matter differently across award years?**

A. It does not change

✓ **B. It has been rising in steps toward 75%, so the same product can be domestic one year and not the next**

C. It applies only to iron and steel

D. It decreases annually

**WHY**

The 2022 rule set a rising schedule. Domestic content must be managed as a sourcing parameter over time.

**A COTS item is modified for the government. How does that affect the COTS exemption from the component test?**

- A. No effect
- ✓ **B. The item is no longer COTS and the exemption is lost**
- C. The exemption expands
- D. The item becomes a qualifying-country product

**WHY**

COTS status requires sale without modification. Modification for the government removes it.

**What is the main route to using a noncompliant material when no compliant source exists?**

- A. Ignore the rule for small quantities
- ✓ **B. A nonavailability determination, approved at the required level, before award or use**
- C. A waiver from the supplier
- D. A price adjustment

**WHY**

Nonavailability determinations must be in place before the noncompliant material is used; retroactive determinations are uncertain.

**Section 889 requires offerors to represent that they:**

- A. Use only domestic steel
- ✓ **B. Do not provide, and do not use as a substantial or essential component of any system, covered telecommunications equipment from certain named companies**
- C. Have a facility clearance
- D. Are CMMC certified

**WHY**

The representation covers the company's own systems, not only what it sells.

**Match the regime to its character:****CORRECT MATCHES**

|                              |                                                        |
|------------------------------|--------------------------------------------------------|
| Buy American Act             | Price preference with a domestic content threshold     |
| Specialty metals restriction | Requirement: melt source in U.S. or qualifying country |
| Berry Amendment              | Requirement: entirely domestic for covered items       |
| Section 889                  | Prohibition on covered telecommunications equipment    |

**WHY**

BAA is a price preference; specialty metals and Berry are requirements; Section 889 is a prohibition on specific equipment.

**Order the steps of a supply chain compliance program:****CORRECT ORDER**

1. Review materials and sourcing for compliance during design
2. Flow down mandatory clauses to every tier
3. Collect supplier certifications at purchase order
4. Maintain product-level origin and content records
5. Document every exception relied on

**WHY**

Review sourcing at design, flow down clauses, collect supplier certifications at purchase, maintain product records, and document exceptions.

**How do domestic preference violations most often surface?**

- A. Self-reporting only
- ✓ B. DCMA quality reviews requesting mill certifications, False Claims Act suits, and audit data mining
- C. Customer complaints
- D. They rarely surface

**WHY**

The certification is tested against the documentation. The record collected before delivery is the defense.

## THE COMPLIANCE STACK · LESSON 8

# Labor Standards: Service Contract Act, Davis-Bacon, and the Rules Behind Your Labor Rates

24 min

*The labor laws that set a floor under what you must pay on a government contract and change how you price it. The Service Contract Act and its wage determinations, the health and welfare benefit, the price adjustment clause, Davis-Bacon for construction, overtime and FLSA classification on T&M work, and the other workforce clauses that appear in every contract and are audited by the Department of Labor.*

## The Floor Under Your Labor Rates

The Unit Economics lesson in the Business module treated the salary you pay as a business decision. On most government service contracts, part of it is not. The Service Contract Act sets a minimum wage and benefit level for every service employee, by occupation and by locality, and the Department of Labor enforces it. Davis-Bacon does the same for construction. Overtime rules decide which of your people must be paid time and a half. These laws shape pricing, staffing, and the option-year economics of a contract, and they are audited with back-pay liability that reaches the individual employee level. This lesson explains the main ones and the mistakes that produce DOL findings.

## The Service Contract Act in Plain Terms

The SCA applies to federal contracts over \$2,500 whose principal purpose is services performed by service employees in the United States. It requires the contractor to pay each service employee at least the wage rate and fringe benefits listed in the wage determination attached to the contract for that employee's occupation and locality. If the predecessor contractor had a collective bargaining agreement, the successor must honor its wages and benefits for the first year. The contractor must post the wage determination, keep records, and notify employees of their rights. Executive, administrative, and professional employees who meet the FLSA exemption tests are not service employees; everyone else is, regardless of whether they are salaried.

## Anatomy of a Wage Determination

| ELEMENT                           | WHAT IT SAYS                                                      | WHAT THE CONTRACTOR MUST DO                                                                 |
|-----------------------------------|-------------------------------------------------------------------|---------------------------------------------------------------------------------------------|
| Occupation codes and titles       | Standard occupations (from the SCA Directory) with numbered codes | Map each service employee to the closest listed occupation; conform any that are not listed |
| Minimum hourly wage by occupation | The floor for that occupation in that locality                    | Pay at least this; may pay more                                                             |
| Health and welfare rate           | An hourly fringe amount (updated annually)                        | Provide as bona fide benefits or pay in cash, on top of wages                               |
| Vacation and holidays             | Minimum paid vacation by years of service; paid holidays          | Provide as specified; service with predecessor contractors counts                           |
| Locality                          | The county or area the WD covers                                  | Use the WD for where the work is performed, not where the company is                        |
| Revision number and date          | Which version applies                                             | The CO must incorporate the current WD at award and at each option                          |

## Health and Welfare: The Part Pricing Teams Miss

The wage determination requires a fringe benefit amount per hour, the H&W rate, in addition to wages. The contractor can satisfy it with bona fide benefits (health insurance, retirement contributions, life insurance) or by paying the amount in cash, or a combination. Two traps. First, the H&W rate is per hour paid, up to 40 hours a week, for every service employee, including those who decline benefits; a company whose benefit cost per employee is below the H&W rate must pay the difference in cash. Second, DOL updates the rate every year, usually in the summer, and the new rate applies when the new WD is incorporated at the next option. A proposal that prices fringe at the company's actual benefit cost without checking it against the H&W rate is underpriced from day one.

### THE SCA FINDING THAT HURTS MOST IS THE FRINGE

The SCA finding that hurts most is the one where a company paid its people well above the wage determination but got the fringe wrong: benefits that did not count as bona fide, H&W not paid for employees who waived insurance, or vacation accrual that ignored predecessor service. Back pay is owed to every affected employee for every hour, going back two or three years, and DOL can also withhold contract payments and debar. It is not a rounding error.

## The Price Adjustment Clause: Why Option Years Are Not Fixed

On fixed-price and T&M service contracts, FAR 52.222-43 (or -44 for some multi-year contracts) entitles the contractor to a price adjustment when a new wage determination incorporated at an option increases the

wages or fringe benefits it must pay. The adjustment covers the increase in wages and fringe and the associated payroll taxes, but not overhead, G&A, or profit on the increase. The contractor must request it within 30 days of the new WD being incorporated, with documentation. Companies that miss the window absorb the increase. Companies that price escalation into option years for SCA-covered labor are double-counting, because the clause covers it; the proposal instructions usually say not to include it. Understanding this clause is the difference between a profitable option year and an unexplained margin decline.

## The Other Workforce Clauses in Every Contract

- **Davis-Bacon (construction)** Prevailing wages by craft; weekly certified payrolls; applies to construction, alteration, and repair over \$2,000, and to construction work within service contracts above certain limits.
- **Contract Work Hours and Safety Standards** Overtime at 1.5 times basic rate over 40 hours per week for laborers and mechanics; liquidated damages for violations.
- **Fair Labor Standards Act** The underlying federal minimum wage and overtime law. Exempt vs. non-exempt classification governs who gets overtime.
- **E-Verify (FAR 52.222-54)** Employment eligibility verification for employees working on covered contracts and, for many contracts, all new hires.
- **Federal contractor minimum wage** Executive-order minimum wages for contractor employees have existed in various forms; their current status and rate change with administrations. Verify the applicable executive order and rate for the contract.
- **Equal opportunity and affirmative action** Longstanding contractor obligations were substantially changed by executive action in 2025. Verify which requirements currently apply to the contract; do not rely on prior-year compliance plans.
- **Nondisplacement of qualified workers** A right of first refusal for predecessor employees on successor service contracts has been imposed and rescinded by successive executive orders. Check whether the clause is in the contract.

One sentence to teach your team: **on a service contract, the wage determination sets the floor for wages and the hourly fringe you must pay every service employee, the price adjustment clause is how you recover increases at each option, and getting the fringe wrong is a back-pay finding for every hour and every employee.**

### INTERMEDIATE

## Conformance: When Your Occupation Is Not on the List

Wage determinations list standard occupations, and real staffing does not always match. When a service employee's work does not fit any listed occupation, the contractor must propose a conformed rate, related to

the listed rates for comparable occupations, submitted through the CO to DOL within 30 days of the employee starting work. Until DOL approves (or the contractor's proposed rate is accepted by default), the rate is provisional. Paying an unlisted occupation at whatever rate the company chooses, without conformance, is a violation even if the rate is generous, because the fringe and the record-keeping attach to the conformed classification. Conformance is routine on IT and technical services contracts, and pricing teams should identify the occupations needing it before award, not after DOL asks.

## Exempt or Not: The Classification Question on T&M Work

The SCA covers service employees and excludes bona fide executive, administrative, and professional employees under the FLSA tests. Those tests have two parts: a salary threshold (which changes; verify the current figure) and a duties test (executive: manages two or more people; administrative: office work with independent judgment on significant matters; professional: advanced knowledge in a field of science or learning, or computer employee duties). Many contractor staff titled "analyst" or "engineer" do not meet the duties test and are non-exempt, which means they are service employees under the SCA and are owed overtime under the FLSA. On T&M contracts, where staff are billed by the hour and routinely work more than 40, misclassification produces both an SCA finding and an overtime finding at once. Titles do not decide it; duties and salary do.

## Pricing an SCA-Covered Position

| ELEMENT                    | SOURCE                                                                          | NOTE                                                                 |
|----------------------------|---------------------------------------------------------------------------------|----------------------------------------------------------------------|
| Base wage                  | At least the WD rate for the occupation and locality; market rate if higher     | Do not price below the WD                                            |
| Health and welfare         | The WD H&W rate per hour (up to 40/week)                                        | Paid in benefits or cash; updated annually                           |
| Vacation and holidays      | Per the WD, counting predecessor service                                        | Affects productive hours available                                   |
| Payroll taxes              | On wages and cash-paid fringe                                                   | Standard                                                             |
| Overtime                   | If non-exempt and the work requires it                                          | Time and a half; on T&M, confirm the contract rate covers it         |
| Escalation in option years | Do not include for WD-driven increases; the price adjustment clause covers them | Include only for above-WD market increases the clause will not cover |

## Successor Contracts and the CBA Rule

When a contractor takes over a service contract whose predecessor had a collective bargaining agreement, the successor must pay at least the wages and fringe benefits in that CBA for the first year, even if it did not sign the CBA and even if the WD would allow less. The CO is supposed to attach the CBA rates to the

solicitation; bidders who price against the WD instead of the CBA underbid and inherit an immediate loss. Vacation accrual also follows the employee: years of service with predecessor contractors on the same contract count toward vacation under the WD. Transition planning on any SCA contract begins with obtaining the predecessor's CBA (if any) and seniority list.

#### ADVANCED

## DOL Investigations and What They Cost

The Wage and Hour Division investigates on complaint and on its own initiative. An investigation reviews payroll records, classifications, fringe payments, and postings for a look-back period of two to three years. Findings result in back wages and fringe owed to every affected employee, which DOL can collect by directing the CO to withhold contract payments. Willful or repeated violations lead to debarment from federal contracts for three years, which is the outcome that ends companies. The records that resolve an investigation quickly are payroll by employee with occupation code, fringe payments and benefit cost documentation, conformance records, and the WD versions incorporated at each option. A company that cannot produce them is presumed to owe.

## Wage Determinations From the Government Side

The CO is responsible for obtaining and incorporating the correct wage determination at solicitation, at award, and at each option or extension, and for attaching predecessor CBAs. A government PM should know that a stale or wrong WD in the contract creates problems for both sides: the contractor may be underpaying without knowing it, DOL can require retroactive correction, and the price adjustment process becomes contentious. PMs should also understand that the price adjustment is a legitimate entitlement, not a contractor windfall; refusing or delaying it does not save the government money, because DOL will require the wages to be paid regardless. On recompetes, the government's decision about whether the successor must honor a CBA and how to handle incumbent employees affects the price every bidder proposes.

## The Labor Compliance Findings That Recur

Patterns from DOL enforcement and contractor experience.

### H&W not paid to benefit waivers FRINGE

Employees who declined health insurance received no cash equivalent.

The H&W obligation attaches to every service employee. Waiving insurance does not waive the fringe.

### Misclassified exempt staff on T&M CLASSIFICATION

Salaried "analysts" who fail the duties test, working 50-hour weeks with no overtime.

SCA back fringe plus FLSA overtime for every excess hour. Titles are not a defense.

**Unconformed occupations** CONFORMANCE

Positions paid at company-chosen rates with no conformance on file.

DOL sets the rate retroactively and the difference is owed.

**Wrong locality** WD

Paying the home-office WD for work performed at a customer site in a higher-wage locality.

The WD for the place of performance controls.

**Missed price adjustment window** PRICING

A WD increase absorbed because the request was not filed within 30 days.

Not a DOL finding, but a self-inflicted margin loss that recurs every option year.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They map every service employee to a WD occupation before award and conform the rest. They price H&W at the WD rate, not at actual benefit cost. They test exemptions by duties and salary, not by title. They calendar the WD update and file the price adjustment request inside the window at every option. And they keep the payroll and fringe records that make a DOL investigation short.

**BUILD ON THIS**

- **Unit Economics of a Billable Hour** Where the wage determination fits in the rate
- **Wrap Rates & Cost Structure** Fringe in the burden stack
- **Common Mistakes Contractors Make** Recompete planning, including incumbent workforce

## Key Terms

### Service Contract Act (SCA)

The McNamara-O'Hara Service Contract Act. Requires contractors on federal service contracts above \$2,500 to pay service employees at least the wages and fringe benefits in the applicable wage determination, or those in a predecessor's collective bargaining agreement.

### Wage Determination (WD)

A Department of Labor document listing minimum hourly wages by occupation for a locality, plus required fringe benefits. Attached to the contract; the CO must include the right one.

### Service Employee

Any employee on an SCA contract except bona fide executive, administrative, or professional employees as defined under the FLSA. Most technicians, analysts, clerks, and support staff are service employees even if salaried.

### Health and Welfare (H&W)

The fringe benefit rate in the wage determination, expressed as an hourly amount, that must be provided as benefits or paid as cash in addition to wages. Updated annually by DOL.

### Price Adjustment Clause

FAR 52.222-43 (and -44): when a new wage determination raises required wages or benefits at an option or renewal, the contractor is entitled to a price adjustment for the increase, but not for overhead or profit on it.

### Conformance

The process for establishing a wage rate for an occupation not listed in the wage determination, submitted through the CO to DOL. Required before the employee is paid at a rate the contractor chose.

### Davis-Bacon Act

Requires prevailing wages and fringe benefits, by craft and locality, on federal construction contracts above \$2,000. Weekly certified payrolls are required.

### Contract Work Hours and Safety Standards Act (CWHSSA)

Requires overtime at one and one-half times the basic rate for hours over 40 in a week for laborers and mechanics on covered contracts, and prohibits unsafe working conditions.

### FLSA Exemption

The Fair Labor Standards Act tests (salary level and duties) that determine whether an employee is exempt from overtime. Misclassifying non-exempt staff as exempt is the most common wage violation on T&M contracts.

### Certified Payroll

The weekly report (WH-347 or equivalent) required on Davis-Bacon work, listing each worker, classification, hours, rate, and deductions, signed under penalty of perjury.

## Knowledge Check

---

**Who is a "service employee" under the Service Contract Act?**

A. Only hourly workers

**✓ B. Any employee on a covered contract except bona fide executive, administrative, or professional employees under the FLSA tests**

C. Only union members

D. Only employees earning below \$50,000

### WHY

Salaried staff who fail the FLSA exemption tests are service employees.

**What is the health and welfare rate in a wage determination?**

A. A tax

**✓ B. An hourly fringe benefit amount that must be provided as bona fide benefits or paid in cash, in addition to wages**

C. The overtime rate

D. A maximum wage

### WHY

H&W is owed per hour paid (up to 40/week) for every service employee, including those who decline benefits.

**Under FAR 52.222-43, what does a price adjustment for a new wage determination cover?**

A. The full increase including overhead and profit

**✓ B. The increase in wages, fringe, and associated payroll taxes, but not overhead, G&A, or profit**

C. Only wages

D. Nothing; increases are absorbed

### WHY

The clause makes the contractor whole on the labor cost increase only, and the request must be filed within 30 days.

**An employee's occupation is not listed on the wage determination. What must the contractor do?**

- A. Pay any rate it chooses
- ✓ **B. Submit a conformance request through the CO to DOL within 30 days of the employee starting work**
- C. Use the lowest listed rate
- D. Exclude the employee from the contract

**WHY**

Conformance establishes the rate and classification. Paying an unconformed rate is a violation even if generous.

**A successor contractor takes over a service contract whose predecessor had a collective bargaining agreement. For the first year, the successor must:**

- A. Pay the wage determination rates only
- ✓ **B. Pay at least the CBA's wages and fringe benefits**
- C. Negotiate a new CBA
- D. Pay market rates

**WHY**

The SCA's successorship provision carries the CBA rates for the first year, and vacation accrual follows predecessor service.

**Which law requires weekly certified payrolls?**

- A. Service Contract Act
- ✓ **B. Davis-Bacon Act**
- C. FLSA
- D. E-Verify

**WHY**

Davis-Bacon construction work requires weekly certified payrolls signed under penalty of perjury.

**A salaried employee titled "analyst" manages no one, performs routine data work, and works 50 hours a week on a T&M contract with no overtime. What is the likely finding?**

A. No violation; salaried employees are exempt

**✓ B. Misclassification: the employee fails the duties test, is a service employee owed SCA fringe and FLSA overtime**

C. A Davis-Bacon violation

D. An E-Verify violation

#### WHY

Exemption depends on duties and salary, not title. T&M work is where misclassification is found most.

**Which wage determination applies to work performed at a customer site in a different county from the contractor's office?**

A. The office locality

**✓ B. The place of performance locality**

C. Whichever is lower

D. The national average

#### WHY

The WD for where the work is performed controls.

**What is the most severe consequence of willful or repeated SCA violations?**

A. A warning letter

**✓ B. Debarment from federal contracts for three years**

C. A 5% withhold

D. Loss of CPARS points

#### WHY

Beyond back pay and withholding, debarment is the outcome that ends companies.

**Match the law to its scope:****CORRECT MATCHES**

|                      |                                                                     |
|----------------------|---------------------------------------------------------------------|
| Service Contract Act | Wages and fringe for service employees on federal service contracts |
| Davis-Bacon Act      | Prevailing wages on federal construction                            |
| CWHSSA               | Overtime for laborers and mechanics on covered contracts            |
| FLSA                 | Exempt vs. non-exempt classification and overtime                   |

**WHY**

SCA covers services; Davis-Bacon covers construction; CWHSSA covers overtime for laborers and mechanics; FLSA sets exemption tests.

**Order the steps for pricing an SCA-covered position:****CORRECT ORDER**

1. Map the position to a WD occupation (or plan conformance)
2. Set base wage at or above the WD rate
3. Add H&W at the WD hourly rate
4. Add vacation, holidays, and payroll taxes
5. Exclude WD-driven option-year escalation (price adjustment clause covers it)

**WHY**

Map to the WD occupation, set the wage at or above the WD, add H&W at the WD rate, add vacation/holidays and taxes, then exclude WD-driven escalation because the price adjustment clause covers it.

**Why should a contractor NOT price escalation for wage-determination increases into option years?**

- A. Because wages never increase
- ✓ **B. Because the price adjustment clause reimburses those increases, so pricing them would double count and solicitations usually prohibit it**
- C. Because DOL sets prices
- D. Because option years are not binding

**WHY**

FAR 52.222-43 covers WD-driven increases. Escalation should only reflect above-WD market increases the clause will not cover.

## THE COMPLIANCE STACK · LESSON 9

# Procurement Integrity and Ethics: The Lines You Cannot Cross

24 min

*The rules about information, gifts, jobs, and money that apply to every conversation between government and industry. The Procurement Integrity Act, the gift rules, post-government employment restrictions, the Anti-Kickback Act, contingent fees, lobbying limits, and the DoD-specific reporting requirements. What each rule actually prohibits, why the boundaries are where they are, and how ordinary relationship-building stays on the right side of them.*

## Why the Rules Are Where They Are

Government contracting runs on relationships. A capture team needs to understand the customer's needs; a program office needs to know what industry can do. Every rule in this lesson exists to let those conversations happen without turning into something else: a competitor's proposal in your hands, a job offer that buys a decision, a gift that buys goodwill, a fee that buys an introduction. The boundaries are specific and the penalties are criminal. This lesson lays them out so that people on both sides can build relationships confidently, knowing exactly where the lines are.

## The Procurement Integrity Act: Three Rules

The PIA does three things. First, it prohibits anyone from knowingly obtaining or disclosing contractor bid or proposal information or source selection information before award. A government employee who tells a contractor its competitor's price, or a contractor who obtains the evaluation team's scoring, has violated it. Second, it requires government officials participating personally and substantially in a procurement over the simplified threshold to report any employment contact with a bidder and to either reject it or recuse themselves. Third, it bars certain officials who served in specific roles on awards over \$10 million (the CO, the source selection authority, evaluation board members, program managers, and others) from accepting compensation from that contractor for one year after leaving those roles. Violations carry civil and criminal penalties, and a contractor that benefits from a violation can have the award cancelled or be disqualified.

## What Is Protected Before Award

| CATEGORY                               | EXAMPLES                                                                                                                                                         | WHO MAY NOT DISCLOSE OR OBTAIN IT                                              |
|----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|
| Contractor bid or proposal information | Cost or pricing data, indirect rates, proprietary technical information, labor rates, anything marked as proposal information                                    | Government personnel and anyone else who has it; competitors may not obtain it |
| Source selection information           | Evaluation plans, technical and cost evaluations, competitive range determinations, rankings, source selection reports, the government's cost estimate if marked | Government personnel; contractors may not obtain it                            |
| After award                            | Most of this becomes available through debriefs (in limited form) and FOIA (with exemptions)                                                                     | Restrictions lift for the completed procurement, subject to other rules        |

## Gifts: The \$20 and \$50 Rule

Federal employees may not accept gifts from prohibited sources, which includes anyone seeking business with or regulated by their agency. The main exception is small: items worth \$20 or less per occasion, not exceeding \$50 per year from any one source. Coffee, a modest meal at a widely attended gathering under specific conditions, promotional items of little value, and a few other categories are permitted. Anything beyond that is not, regardless of intent. Contractors who want to host government personnel at events, provide meals, or give holiday gifts need to know these limits, because the government employee who accepts an improper gift is the one who faces discipline, and the contractor that gave it is the one that faces the bribery and gratuities statutes if the gift can be connected to an official act. The safe practice: nothing of value beyond the exception, ever, and a written policy that says so.

### REAL TALK

The ethics rules are not about whether you are a good person. They assume you are, and they will get you anyway. Buy a \$45 dinner for a COR who happens to be an old friend, and you just put your friend in violation. Mention over lunch that you might be looking around next year, and the government PM across the table now owes a written disclosure. Nobody meant anything by any of it. That is the entire point: the rules are built around the ordinary friendly things people do, which is exactly why both sides need to know them cold.

## Jobs: The Revolving Door

Government officials move to industry constantly, and the rules manage it rather than prohibit it. Three sets apply. The PIA requires an official who is contacted about employment by a bidder during a procurement they are working on to report it in writing and either reject the contact or recuse from the procurement. The criminal conflict of interest statute (18 U.S.C. 207) bars former employees, for life, from representing

anyone to the government on particular matters they worked on personally and substantially; for two years on matters under their official responsibility; and, for senior officials, for one year from any contact with their former agency. And the PIA one-year ban prevents specified officials on awards over \$10 million from accepting compensation from that contractor. DoD adds Section 847: certain officials must obtain a written ethics opinion before accepting contractor employment, and contractors must report such hires. None of this prevents the move. All of it constrains what the person can do afterward, and a contractor hiring a former official should get the ethics opinion in hand before the offer.

## Money: Kickbacks, Contingent Fees, and Lobbying

- **Anti-Kickback Act** Anything of value given to a prime's employee by a sub (or the reverse) to obtain favorable treatment on a federal contract is a kickback. Primes over a threshold must have procedures to prevent and detect them, must report them, and can have the amount deducted from contract payments. This is the rule that makes "take the buyer to the game" a crime in the government supply chain.
- **Covenant against contingent fees** Every contract includes the contractor's warranty that it did not pay anyone a fee contingent on winning, except a bona fide employee or a bona fide established commercial agency. Paying a consultant a success fee to "open doors" violates it, and the government can annul the contract or deduct the fee.
- **Byrd Amendment** No appropriated funds may be used to influence the award of a contract, grant, or loan. Lobbying with the company's own money is permitted but must be disclosed. Every proposal over \$100,000 includes the certification.
- **Bribery and gratuities (18 U.S.C. 201)** Giving anything of value to a public official to influence an official act is bribery; giving something for or because of an official act, without a specific quid pro quo, is an illegal gratuity. Both are felonies and both apply to contractors.

One sentence to teach your team: **before award, competitors' proposals and the government's evaluations are off limits, gifts to government people are capped at trivial amounts, job talk during a procurement must be reported, and nothing of value moves between primes and subs to buy favor, because every one of those is a crime and none of them require bad intent to prove.**

### INTERMEDIATE

## Exchanges With Industry: What Is Allowed and Encouraged

The rules restrict specific things, and the government has said repeatedly that it wants communication with industry. Before a solicitation is issued, the government can and should talk with potential offerors about requirements, approaches, and market capability: industry days, one-on-one meetings, draft RFP comments, sources sought responses. The Capture module calls this the shaping window. Once the solicitation is out, communication runs through the CO and is shared with all offerors. What is never allowed is giving one

offeror information the others do not have, or obtaining the government's evaluation of anyone's proposal. A contractor who understands this uses the pre-solicitation period fully and stops trying to talk to the program office the day the RFP drops. A government PM who understands it holds the industry day, takes the meetings, and then goes quiet.

## Former Employees and Competitor Information

A contractor that hires an employee from a competitor, or from the government, inherits that person's knowledge and their restrictions. Competitor proposal information the person carries is protected under the PIA and under trade secret law; using it is a violation and grounds for disqualification. Government source selection information the person saw is protected the same way. The practice at well-run companies is a screening interview before the hire that identifies what the person worked on, a written acknowledgment of what they may not use or disclose, and, where the person was a government official, the written ethics opinion and a wall around the matters they are barred from. A capture team that gets a "great hire from the incumbent" has also gotten a compliance obligation.

## Common Situations and the Right Answer

| SITUATION                                                             | RULE INVOLVED                       | WHAT TO DO                                                                                                                          |
|-----------------------------------------------------------------------|-------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------|
| A COR asks the contractor to sponsor a table at a charity event       | Gift rules                          | The government employee may attend only under narrow exceptions; the contractor should decline or route through the ethics official |
| A government PM on an active procurement mentions job interest        | PIA employment contact              | The PM must report and recuse or reject; the contractor should not pursue it until the procurement is over                          |
| A sub offers the prime's subcontract manager a consulting arrangement | Anti-Kickback Act                   | Refuse, report internally, document                                                                                                 |
| A consultant offers to win a contract for 5% of the value             | Covenant against contingent fees    | Decline unless the consultant is a bona fide established agency; get counsel                                                        |
| A new hire from a competitor offers their old company's pricing       | PIA and trade secrets               | Refuse it, document the refusal, wall the employee off                                                                              |
| The customer's technical lead wants to discuss the draft RFP          | Permitted pre-solicitation exchange | Take the meeting; it is what the shaping window is for                                                                              |

## The Government Employee's Side

For government PMs, CORs, and contracting staff, the obligations run the other way. Report employment contacts. Decline gifts beyond the exception. Protect source selection information physically and electronically. Treat all offerors equally once the solicitation is issued. Consult the agency ethics official before accepting anything from a contractor, before any outside activity, and before any job discussion. And

when leaving government, get the written post-employment advice, because the restrictions attach to the matters worked on, not to the job title, and they follow the person for years.

#### ADVANCED

## OCI Meets Personal Ethics

Organizational conflicts of interest are covered in the Section H lesson, but they intersect with personal ethics constantly. A contractor providing advisory services to a program office sees requirements before they are solicited; that is unequal access, an OCI, and also creates a PIA exposure if the information is proposal-related. An employee who helped write a statement of work for the government cannot help their new employer respond to it. Mitigation plans (firewalls, recusals, information barriers) address the organizational conflict, but the individual restrictions still apply to the people involved. Companies that pursue both advisory and product work on the same programs need both OCI mitigation and personal ethics controls, and they need to be able to prove both were followed.

## Enforcement and the Cost of a Violation

PIA violations are investigated by agency inspectors general and prosecuted by the Department of Justice. Consequences for a contractor include cancellation of the award, disqualification from the procurement, suspension and debarment, civil penalties, and criminal prosecution of individuals. Cases have included a contractor employee who obtained a competitor's pricing through a government contact, a government official who provided source selection information to a favored bidder, and executives who negotiated employment with a contractor while overseeing its contract. The pattern in the criminal cases is not the initial contact but the cover-up: false statements to investigators turned an administrative violation into a felony. Companies that find a problem investigate, disclose under the mandatory disclosure rule, and cooperate.

## An Ethics Program That Works

The elements FAR 52.203-13 requires for larger contracts, and that every company should have.

### Written code of business ethics POLICY

Covering gifts, employment contacts, competitor information, kickbacks, contingent fees, and reporting. Given to every employee.

Required within 30 days of award for contracts over the threshold; sensible for everyone.

### Training PEOPLE

Annual, with specific attention to BD and capture staff, subcontract managers, and anyone who interacts with government customers.

The people most likely to face a gray-area situation should be the ones who know the rules best.

**A hotline and a no-retaliation policy** **REPORTING**

A way for employees to report concerns, and protection when they do.

Required by the clause; also the mechanism that catches problems before a whistleblower takes them outside.

**Internal controls and periodic review** **CONTROLS**

Gift logs, employment contact reporting, screening of hires from competitors and government, consultant agreement review.

The evidence that the program operates, which is what an investigator asks for.

**Mandatory disclosure** **DISCLOSURE**

Timely disclosure to the OIG and CO of credible evidence of violations of criminal law, the FCA, or significant overpayments.

Failure to disclose is itself grounds for suspension and debarment.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They make the rules the culture: no gifts, no job talk during procurements, no competitor information, no success fees, and everyone knows it. They screen every hire from a competitor or the government and get the ethics opinion first. They use the pre-solicitation window fully and go quiet when the RFP drops. And when something goes wrong, they investigate and disclose, because the cover-up is the felony.

**BUILD ON THIS**

- **Section H: Special Requirements** Organizational conflicts of interest
- **The BD-to-Capture Lifecycle** The shaping window and permitted exchanges
- **Building a Compliance Program on a Small Team** Where the ethics program fits

## Key Terms

### Procurement Integrity Act (PIA)

41 U.S.C. Chapter 21 and FAR 3.104. Prohibits disclosing or obtaining contractor bid or proposal information and source selection information before award, requires reporting of employment contacts, and restricts post-government compensation for certain officials.

### Source Selection Information

Information prepared for use by the government in evaluating proposals: evaluation plans, technical and cost evaluations, rankings, competitive range determinations, source selection reports. Protected until award.

### Contractor Bid or Proposal Information

Cost or pricing data, indirect rates, proprietary information, and other information submitted by an offeror and marked as such. Protected from disclosure to competitors.

### Gift Rules

Federal ethics regulations (5 CFR 2635) limiting what government employees may accept from prohibited sources: generally nothing over \$20 per occasion and \$50 per year from any one source, with narrow exceptions.

### Post-Government Employment

Restrictions under 18 U.S.C. 207 (lifetime, two-year, and one-year bans on representing others to the government on matters the former employee worked on) and the PIA (one-year ban on compensation from a contractor for certain officials involved in awards over \$10M).

### Anti-Kickback Act

41 U.S.C. Chapter 87. Prohibits kickbacks (anything of value given to obtain favorable treatment) between primes, subs, and their employees on federal contracts. Requires primes to have procedures to prevent and detect them.

### Contingent Fee

A fee paid to an agent or consultant contingent on winning a contract. Prohibited unless paid to a bona fide employee or bona fide agency; the covenant against contingent fees is in every contract.

### Byrd Amendment

Prohibits using appropriated funds to lobby for a contract, grant, or loan, and requires disclosure of lobbying with non-appropriated funds. The certification is in every proposal above \$100,000.

### Organizational Conflict of Interest (OCI)

A situation where a contractor's other activities give it unequal access to information, let it set the ground rules for a competition, or impair its objectivity. Covered in the Section H lesson; mentioned here because it often intersects with personal ethics questions.

### Section 847 Reporting

A DoD requirement that certain senior officials and acquisition officials seeking employment with defense contractors obtain a written ethics opinion, and that contractors report the hiring of such officials.

## Knowledge Check

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**Under the Procurement Integrity Act, which of these is prohibited before award?**

- A. Attending an industry day
- ✓ B. Obtaining a competitor's cost or pricing data or the government's evaluation of proposals
- C. Responding to a sources sought notice
- D. Asking the CO a question that is shared with all offerors

### WHY

Contractor bid or proposal information and source selection information are protected before award.

**A government official working on an active procurement is contacted by a bidder about a job. What must the official do?**

- A. Nothing until the procurement ends
- ✓ B. Report the contact in writing and either reject it or recuse from the procurement
- C. Accept if the salary is reasonable
- D. Inform the other bidders

### WHY

The PIA requires reporting and either rejection or recusal.

**What is the general limit on gifts a federal employee may accept from a prohibited source?**

- A. \$100 per occasion
- ✓ B. \$20 per occasion and \$50 per year from any one source
- C. No limit for meals
- D. \$500 per year

### WHY

The de minimis exception is \$20 per occasion, \$50 per year per source. Anything beyond it is not permitted.

**The PIA one-year compensation ban applies to which officials?**

A. All federal employees

✓ **B. Specified officials (CO, SSA, evaluation board members, PMs, and others) on awards over \$10 million, from that contractor**

C. Only political appointees

D. Only military officers

**WHY**

The ban is role-specific and tied to awards over \$10M, barring compensation from that contractor for one year.

**A subcontractor gives the prime's subcontract manager tickets to a game to keep the relationship warm. What is this?**

A. Ordinary business courtesy

✓ **B. A kickback under the Anti-Kickback Act**

C. Permitted if under \$50

D. A contingent fee

**WHY**

Anything of value between primes and subs to obtain favorable treatment on a federal contract is a kickback.

**A consultant offers to help win a contract in exchange for 5% of its value if awarded. Under the covenant against contingent fees, this is:**

A. Permitted

✓ **B. Prohibited unless the consultant is a bona fide employee or bona fide established commercial agency**

C. Permitted for small businesses

D. Permitted if disclosed

**WHY**

Success fees to agents are contingent fees; the government can annul the contract or deduct the fee.

**Under 18 U.S.C. 207, how long is a former government employee barred from representing others to the government on particular matters they worked on personally and substantially?**

- A. One year
- B. Two years
- C. Five years

**✓ D. For life**

**WHY**

The lifetime ban applies to particular matters worked on personally and substantially; two-year and one-year bans cover other situations.

**When is communication between the government and a single potential offeror about requirements and approaches appropriate?**

- A. Never

**✓ B. Before the solicitation is issued, during market research and shaping**

- C. After proposals are submitted
- D. During evaluation

**WHY**

Pre-solicitation exchanges are encouraged. After release, communication runs through the CO and is shared equally.

**A new hire from a competitor offers to share the competitor's pricing from a recent proposal. What should the company do?**

- A. Use it carefully

**✓ B. Refuse it, document the refusal, and wall the employee off from related pursuits**

- C. Report it to the competitor
- D. Use it only if unmarked

**WHY**

Competitor proposal information is protected by the PIA and trade secret law. Using it is a violation and grounds for disqualification.

**Match the rule to what it prohibits:****CORRECT MATCHES**

|                                  |                                                                            |
|----------------------------------|----------------------------------------------------------------------------|
| Procurement Integrity Act        | Obtaining or disclosing pre-award proposal or source selection information |
| Gift rules                       | Officials accepting more than trivial value from prohibited sources        |
| Anti-Kickback Act                | Value passed between primes and subs to obtain favorable treatment         |
| Covenant against contingent fees | Success fees to non-bona fide agents                                       |

**WHY**

PIA protects pre-award information; gift rules cap what officials accept; Anti-Kickback covers prime-sub payments; the contingent fee covenant covers success fees.

**Order the steps when a company discovers a potential PIA violation:****CORRECT ORDER**

1. Stop the activity and preserve records
2. Investigate with counsel to establish the facts
3. Disclose to the OIG and CO under the mandatory disclosure rule
4. Cooperate with the investigation
5. Correct the control that failed

**WHY**

Stop, preserve, investigate with counsel, disclose under the mandatory disclosure rule, and cooperate.

**In the criminal PIA cases, what most often turned an administrative violation into a felony?**

- A. The dollar value
- ✓ B. False statements to investigators during the cover-up
- C. The number of people involved
- D. Media attention

**WHY**

The pattern is the cover-up. Investigate, disclose, and cooperate instead.

## THE COMPLIANCE STACK · LESSON 10

# Building a Compliance Program on a Small Team

23 min

*Everything in this module, made operational for a company with no compliance department. The compliance calendar, the timekeeping floor that DCAA checks first, the six business systems, the code of conduct and hotline the FAR requires, mandatory disclosure, what to outsource, and how to know the program is working before an auditor tells you it is not.*

## Nine Regimes, One Person

The previous nine lessons described nine sets of rules, each with its own agency, clauses, deadlines, and enforcement. A large prime has a department for each. A small contractor has a contracts manager, a controller, and an executive who signs things. This lesson is about making the whole module work at that scale: what has to be done, when, by whom, what can be bought, and how to know it is working. The premise is simple. Most compliance failures at small companies are not from ignorance of the rules. They are from a deadline nobody owned, a control nobody tested, and a certification somebody signed without reading.

## Start With Timekeeping, Because DCAA Does

Labor is the largest cost on nearly every services contract, and labor charged to the wrong contract is the most common government contract fraud. So the first thing DCAA tests, in a pre-award survey, a floor check, or an incurred cost audit, is timekeeping. The requirements are specific: each employee records their own time, daily, to the correct charge number; supervisors approve; changes are documented with a reason and the original is preserved; charge numbers are controlled so employees can only charge to work they are authorized on; and employees are trained on all of this and can explain it when an auditor asks. A company that gets timekeeping right has passed the test that fails most first-time contractors. One that does not will find its accounting system determined inadequate, its cost-type billing suspended, and its bid on cost-type work rejected.

## The Timekeeping Rules DCAA Tests

- **Daily recording by the employee** Not weekly, not by the supervisor, not reconstructed at month end.
- **Correct charge number** Direct to the contract and task actually worked; indirect to the right pool (overhead, B&P, G&A) when not on contract work.
- **Supervisor approval** With actual review, not automatic.

- **Documented corrections** Original entry preserved; change, date, and reason recorded; employee initiates or concurs.
- **Charge number control** Employees can charge only to numbers they are authorized on; numbers open and close with the work.
- **Training and awareness** Every employee trained; can explain what they charge and why. Floor checks test this directly.

## The Compliance Calendar

A small company's compliance program is a calendar with owners. Every recurring deadline across every regime goes on it, with the person responsible and the evidence that it was done. Below is the skeleton; each company adds its contract-specific items (ISRs for each large contract, option-year WD updates, CDRL-driven certifications). The calendar is reviewed monthly by whoever runs compliance, and a missed item is treated as an incident, not an oversight.

## The Annual Compliance Calendar (Skeleton)

| WHEN                                  | ITEM                                                                                                    | REGIME                 | OWNER (TYPICAL)                 |
|---------------------------------------|---------------------------------------------------------------------------------------------------------|------------------------|---------------------------------|
| Annually, on registration anniversary | SAM renewal and full review of representations and certifications                                       | Everything             | Contracts                       |
| Annually, before expiration           | ITAR registration renewal (if a manufacturer or exporter of defense articles)                           | Export                 | Contracts or compliance         |
| Annually                              | CMMC affirmation (after internal control review); SPRS score update                                     | Cyber                  | IT lead and senior official     |
| Six months after fiscal year end      | Incurred cost submission                                                                                | Accounting             | Controller                      |
| Before fiscal year start              | Provisional billing rate proposal to the ACO                                                            | Accounting             | Controller                      |
| Semi-annually (per contract)          | ISRs in eSRS; annually SSR (if large business with plans)                                               | Small business         | Contracts                       |
| Quarterly                             | Size calculation (five-year receipts average) against every NAICS pursued; affiliation review           | Small business         | CFO                             |
| At each option                        | Wage determination update and price adjustment request within 30 days                                   | Labor                  | Contracts and HR                |
| Annually                              | Ethics, timekeeping, CUI handling, export, and insider threat training; completion records              | All                    | HR and compliance               |
| Annually                              | Internal audit: timesheet sample, control tests, calendar review, policy refresh                        | All                    | Designated lead or outside firm |
| Monthly                               | Limitations on subcontracting ratio per set-aside contract; direct labor forecast to finance            | Small business; rates  | Each PM                         |
| Continuous                            | Restricted party screening of new suppliers, subs, and partners; residency check on each hire (HUBZone) | Export; small business | Purchasing and HR               |

**REAL TALK**

The annual SAM representations are the most-clicked, least-read document in government contracting. Dozens of statements about size, ownership, status, Section 889, lobbying, and each one is a certification you are personally making. Most people renew them the way they accept a software license agreement. Read them. Every one, every year, with the actual current facts in front of you, because that click is what gets quoted back at you in a False Claims Act complaint, and "I did not really read it" has never once been the winning answer.

## What the FAR Requires: The Ethics Clause

For contracts over \$6 million with a performance period over 120 days, FAR 52.203-13 requires a written code of business ethics and conduct within 30 days of award, given to every employee; an ongoing program of training and internal controls (unless the company is small, but do it anyway); a mechanism for employees to report concerns without retaliation, typically a hotline; periodic review of the program; disciplinary action for violations; and timely mandatory disclosure of credible evidence of specified violations. It also requires displaying the agency OIG fraud hotline poster. A small company can meet all of this with a ten-page code, an annual training session, an outside hotline service, and a compliance lead who reviews the program once a year. What it cannot do is skip it and hope the contract stays under the threshold.

One sentence to teach your team: **a small contractor's compliance program is a calendar with owners, a timekeeping system DCAA would pass, a code and hotline the FAR requires, and one person who reads every certification before anyone signs it.**

**INTERMEDIATE**

## Build or Buy: What a Small Company Outsources

Some compliance functions require expertise that a small company cannot keep on staff and should not try to. Accounting system setup for DCAA adequacy is a specialty; a government contracting CPA firm does it faster and correctly. CMMC readiness and the enclave build are usually done with a managed service provider that knows the assessment guide. Export control classification for a company's products is a one-time engagement with export counsel or a classification consultant. Facility security officer services can be contracted for non-possessing facilities. Employment law review of SCA classifications and exemptions is a periodic engagement. What the company must keep in-house is ownership: someone who knows what was bought, reads what was delivered, and owns the calendar. Outsourced work without an internal owner is a report nobody reads.

## Build vs. Buy for a Small Contractor

| FUNCTION                             | USUALLY BOUGHT                                                     | MUST STAY IN-HOUSE                                                                         |
|--------------------------------------|--------------------------------------------------------------------|--------------------------------------------------------------------------------------------|
| Accounting system and DCAA readiness | Setup, rate structure design, incurred cost submission preparation | Daily bookkeeping discipline, timekeeping enforcement, the controller who owns the numbers |
| Cybersecurity and CMMC               | Enclave build, managed security, assessment preparation, C3PAO     | The senior official who affirms; the policy that CUI stays in the enclave; user behavior   |
| Export controls                      | Product classification, license applications, TAA drafting         | The U.S. person question at hiring; screening at purchasing; the access controls           |
| Facility security                    | Contract FSO services for non-possessing facilities                | Reporting obligations of cleared employees; the relationship with the sponsor              |
| Labor standards                      | SCA and FLSA classification review; wage determination analysis    | Payroll execution; H&W payment; conformance filings                                        |
| Ethics and hotline                   | Third-party hotline service; training content                      | The code, the culture, the investigation of reports, the disclosure decision               |

## The Six Business Systems, at Small Scale

The DFARS business systems rule formally applies to larger contractors (those subject to CAS and with the clauses in their contracts), but every cost-type contractor is evaluated on its accounting system, and every contractor with government property or significant subcontracting is evaluated on those systems informally. At small scale the practical minimum is: an accounting system that segregates direct and indirect costs, accumulates by contract and CLIN, handles unallowables, and produces the incurred cost submission (this is the one DCAA formally reviews); an estimating practice that ties proposals to the accounting structure; a purchasing process with competition, price analysis, flow-downs, and documentation; and property records if the company holds government property. The DCAA & DCMA lesson covers the systems in depth. Here the point is sequencing: accounting first, because nothing cost-type can be billed without it.

## Training That Actually Prevents Things

The training the regimes require adds up: ethics, timekeeping, CUI handling, export control awareness, insider threat, and SCA rights posting. A small company combines them into one annual session of two to three hours, role-specific where it matters (BD staff get the PIA and gift rules in depth; engineers get CUI and export; everyone gets timekeeping), with a short quiz and a completion record. The record is what an auditor or an investigator asks for. The content is what prevents the incident. A company that runs the session every year and keeps the records has covered the training requirement of every regime in this module at once.

**ADVANCED****Knowing It Works: The Internal Audit**

A compliance program that has never been tested is a hypothesis. Once a year, someone who did not build the program tests it: pull a sample of timesheets and trace them to charge authorizations and project records; interview five employees the way a floor check would; check the calendar for missed items and the evidence behind completed ones; test the enclave boundary by looking for CUI outside it; review three recent purchase orders for screening and flow-down; read the last SAM certification against current facts; and confirm the hotline works by calling it. The output is a short report with findings and owners. At a small company this can be the compliance lead with a checklist or an outside firm for a few days. Either way, the company learns about its gaps from itself, which is the only way to learn about them cheaply.

**Mandatory Disclosure: The Decision Nobody Wants to Make**

When the program finds a real problem (labor mischarging, a false certification, a kickback, an export violation), the FAR requires timely disclosure of credible evidence to the agency OIG and the CO. "Credible evidence" is a higher bar than a rumor and a lower bar than proof; the standard is that a reasonable review has found the evidence credible. The decision is made with counsel, after a preliminary internal review that establishes what happened, but not after an exhaustive investigation that delays the disclosure by months. Disclosure is a mitigating factor in every enforcement regime in this module: DOJ, DDTTC, BIS, DOL, SBA, and the suspension and debarment officials all weigh it. Failure to disclose is itself a cause for debarment. Senior leaders decide in advance who makes this call and how, so that the first time it comes up is not a debate about whether to have the conversation.

**The First 90 Days of a Compliance Program**

For a company that has been winging it and just won something that changes the stakes.

**Weeks 1 to 2: Inventory** **SCOPE**

Every contract, its clauses, its information tiers, its set-aside status, its labor category coverage, its export exposure. One spreadsheet.

This is the information inventory from the CUI lesson, the size file from the Small Business module, and the clause matrix in one place.

**Weeks 2 to 4: Timekeeping and accounting** **FLOOR**

Fix timekeeping to DCAA standards; engage a GovCon CPA on the accounting system if cost-type work is in the pipeline.

Nothing else matters if labor is charged wrong.

**Weeks 4 to 6: Calendar and certifications** DEADLINES

Build the compliance calendar with owners; re-read every SAM representation against current facts and correct any that are wrong.

Correcting a wrong certification now is a fix. Discovering it in a protest is a case.

**Weeks 6 to 10: Code, training, hotline** ETHICS

Adopt the code; run the first combined training; stand up the hotline; post the required notices.

This satisfies FAR 52.203-13 and starts the culture.

**Weeks 10 to 13: Regime-specific gaps** DEPTH

CMMC scoping decision, export classification, SCA mapping, supplier screening, whichever the inventory showed as live risks.

Prioritize by the contracts you hold and the ones you are bidding, not by which regime is most interesting.

**WHAT SENIOR LEADERS DO DIFFERENTLY**

They own the calendar personally or name who does. They treat timekeeping as the control that matters most and test it. They read every certification before it is signed. They buy expertise and keep ownership. They audit their own program once a year. And they decide in advance how a disclosure decision gets made, because the companies that handle a problem well are the ones that had already decided how they would.

**BUILD ON THIS**

- **DCAA & DCMA Oversight** The six business systems in depth
- **Small Business Compliance Traps** The size and status controls
- **Common Mistakes Contractors Make** DCAA compliance gaps discovered at the worst time

## Key Terms

### Compliance Calendar

The single list of every recurring compliance deadline the company has: SAM renewal, representations and certifications, ISRs, CMMC affirmation, ITAR registration, incurred cost submission, provisional rate proposals, wage determination updates, training. The backbone of a small-company program.

### Timekeeping

The daily recording of labor hours by employee to the correct charge number. The single control DCAA tests first, because labor is the largest cost on most contracts and mischarging is the most common fraud.

### Floor Check

An unannounced DCAA visit in which auditors interview employees at their workstations about what they are working on and compare it to their timesheets.

### Six Business Systems

Under DFARS, the accounting, estimating, purchasing, property, EVM, and material management systems the government evaluates. Deficiencies trigger payment withholds. Covered in the DCAA & DCMA lesson.

### Code of Business Ethics and Conduct

The written code FAR 52.203-13 requires for contracts over \$6 million and 120 days, with training, a hotline, and internal controls. Required within 30 days of award.

### Mandatory Disclosure

The FAR requirement to timely disclose to the OIG and CO credible evidence of a violation of federal criminal law involving fraud, conflict of interest, bribery, or gratuities, a False Claims Act violation, or a significant overpayment.

### Incurred Cost Submission

The annual proposal of final indirect rates, due six months after the fiscal year ends, that starts the process of settling cost-type contracts.

### Representations and Certifications

The annual statements in SAM about size, status, ownership, compliance, and dozens of other matters, incorporated into every offer. Each one is a certification with False Claims Act exposure.

### Internal Audit

A periodic self-review of the compliance program: sampling timesheets, testing controls, checking the calendar, reviewing training completion. At a small company, done by a designated person or an outside firm, not a department.

### Outsourced Compliance

Functions a small contractor typically buys rather than builds: accounting system setup and DCAA readiness, CMMC assessment preparation, export control classification, FSO services, employment law review.

## Knowledge Check

---

What control does DCAA test first at most contractors?

A. Purchasing

✓ B. Timekeeping

C. Property

D. EVM

### WHY

Labor is the largest cost and mischarging the most common fraud. Timekeeping is the first test in surveys, floor checks, and audits.

Which timekeeping practice violates DCAA expectations?

A. Employees record their own time daily

✓ B. The supervisor fills in the team's timesheets at month end

C. Corrections preserve the original entry with a reason

D. Charge numbers are controlled by authorization

### WHY

Time must be recorded by the employee, daily. Reconstruction by a supervisor is a finding.

What is a "floor check"?

A. A safety inspection

✓ B. An unannounced DCAA visit interviewing employees at their workstations and comparing their answers to timesheets

C. A DCMA property audit

D. An SBA size review

### WHY

Floor checks test whether employees know what they charge and whether it matches reality.

**When is the incurred cost submission due?**

A. 30 days after fiscal year end

**✓ B. Six months after fiscal year end**

C. At contract closeout only

D. Quarterly

**WHY**

The annual final indirect rate proposal is due six months after the fiscal year ends and starts the settlement process for cost-type contracts.

**FAR 52.203-13 requires a written code of business ethics within 30 days of award for contracts:**

A. Of any value

**✓ B. Over \$6 million with a performance period over 120 days**

C. Over \$100 million only

D. With small businesses only

**WHY**

The clause also requires training, internal controls, a hotline, periodic review, and mandatory disclosure.

**Why should the person renewing SAM read every representation and certification?**

A. SAM requires a timed read

**✓ B. Each is a certification incorporated into every offer, with False Claims Act exposure if wrong**

C. To update the company logo

D. It is optional

**WHY**

The annual click-through is what an FCA complaint quotes. Read each against current facts.

**Which function should a small contractor typically buy rather than build?**

A. Daily timekeeping discipline

**✓ B. Product export classification and license applications**

C. Ownership of the compliance calendar

D. The decision to make a mandatory disclosure

**WHY**

Specialized expertise (classification, DCAA readiness, CMMC prep, FSO services) is bought. Ownership, discipline, and the disclosure decision stay in-house.

**What is the standard for mandatory disclosure?**

A. Proof beyond reasonable doubt

**✓ B. Credible evidence, after a reasonable preliminary review, disclosed timely**

C. Any rumor

D. Only after litigation

**WHY**

Credible evidence is above rumor and below proof. Delay for an exhaustive investigation defeats "timely."

**What is the purpose of an annual internal audit of the compliance program?**

A. To satisfy SAM

**✓ B. To test whether the program actually operates, so the company finds its gaps before an auditor or investigator does**

C. To calculate indirect rates

D. To replace DCAA audits

**WHY**

An untested program is a hypothesis. Self-discovery is the cheap way to learn about gaps.

**Match the calendar item to its regime:****CORRECT MATCHES**

|                                     |                                    |
|-------------------------------------|------------------------------------|
| Incurred cost submission            | Accounting / DCAA                  |
| Annual affirmation and SPRS update  | CMMC / cyber                       |
| Semi-annual ISR                     | Small business subcontracting plan |
| Wage determination update at option | Service Contract Act               |

**WHY**

Incurred cost is accounting; the affirmation is cyber; ISRs are small business; WD updates are labor.

**Order the first 90 days of a compliance program:****CORRECT ORDER**

1. Inventory every contract, clause, information tier, and exposure
2. Fix timekeeping and engage on the accounting system
3. Build the compliance calendar and re-read SAM certifications
4. Adopt the code, run training, stand up the hotline
5. Close regime-specific gaps by priority

**WHY**

Inventory, then timekeeping and accounting, then calendar and certifications, then code and training, then regime-specific gaps.

**Why does the lesson say to decide the disclosure process in advance?**

A. Because disclosure is never required

**✓ B. Because the companies that handle a problem well had already decided who makes the call and how, so the first occurrence is not a debate**

C. Because the FAR requires a written procedure

D. Because counsel is not needed

**WHY**

Timeliness and consistency depend on a pre-decided process with named decision-makers and counsel.

THE COMPLIANCE STACK · MODULE ASSESSMENT

# Module Assessment

Pass this to unlock the next skill level in the app.

## Knowledge Check

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What triggers CMMC Level 2 on a contract?

- A. Any DoD contract
- ✓ B. The presence of Controlled Unclassified Information
- C. Contract value over \$10M
- D. A classified DD 254

### WHY

CUI triggers Level 2; FCI alone triggers Level 1.

Under DFARS 252.204-7012, cyber incidents affecting covered defense information must be reported to DoD within:

- A. 24 hours
- ✓ B. 72 hours
- C. 7 days
- D. 30 days

### WHY

72 hours from discovery, with system images preserved for 90 days.

Giving an employee on a work visa access to ITAR technical data inside a U.S. office is:

- A. Permitted; no export occurred
- ✓ B. A deemed export requiring authorization first
- C. Permitted if the employee signs an NDA
- D. Only an issue for classified data

### WHY

Release of controlled technical data to a foreign person anywhere is a deemed export.

**How does a company obtain a facility clearance?**

A. By applying to DCSA directly

✓ **B. Through sponsorship by a government activity or cleared prime with a classified need**

C. By hiring cleared staff

D. Through SAM

**WHY**

An FCL must be sponsored; a company cannot self-initiate.

**Technical data developed exclusively at private expense and properly asserted and marked is delivered with:**

A. Unlimited rights

B. Government purpose rights

✓ **C. Limited rights**

D. No rights

**WHY**

Private-expense development yields limited rights (data) or restricted rights (software) when asserted and marked.

**Technical data delivered without a restrictive legend is treated as:**

A. Limited rights

✓ **B. Delivered with unlimited rights, subject to a short correction window**

C. Classified

D. Withdrawn

**WHY**

The omission rule is the most common way data rights are lost.

**Which is an exception to the requirement for certified cost or pricing data?**

A. The contractor is small

✓ **B. Adequate price competition**

C. The contract is cost-type

D. The contractor has an FPRA

**WHY**

Adequate price competition, prices set by law, commercial items, and waivers are the exceptions.

**A vendor quote lower than the one in the proposal arrives before certification and is not disclosed. This is:**

A. Acceptable; quotes are judgment

✓ **B. Defective pricing; the government may recover the difference with interest**

C. A CAS violation

D. Not significant

**WHY**

Quotes are facts a prudent buyer would want. Undisclosed facts that raise the price are defective pricing.

**The Buy American Act is enforced on DoD acquisitions primarily through:**

A. A prohibition on foreign products

✓ **B. A price evaluation penalty on foreign end products**

C. Tariffs

D. Debarment

**WHY**

BAA is a preference applied through price evaluation; qualifying-country products are exempt from the penalty.

**Under the Service Contract Act, the health and welfare fringe must be:**

A. Paid only to employees who enroll in insurance

✓ **B. Provided as bona fide benefits or paid in cash to every service employee, in addition to wages**

C. Included in the base wage

D. Paid only on overtime hours

**WHY**

H&W is owed per hour for every service employee, including those who waive benefits.

**Under the Procurement Integrity Act, a government official on an active procurement who is contacted about employment by a bidder must:**

A. Do nothing

✓ **B. Report the contact and either reject it or recuse**

C. Accept if reasonable

D. Tell the other bidders

**WHY**

Reporting and recusal or rejection are required.

**What control does DCAA test first at most contractors?**

A. Purchasing

✓ **B. Timekeeping**

C. Property

D. Estimating

**WHY**

Labor is the largest cost and mischarging the most common fraud.